Ep #8 | WTF is Going on in the World of Content | w/ Nikhil, Ajay Bijli, Vijay S. & Sajith S.

[Speaker 1] (0:00 - 0:11)

Let's establish market size. Box office wise, 70% of the revenues come from multiplexes. Is OTT growing on the back of theatres?

Sure. The actor sees what percentage of the budget.

[Speaker 2] (0:11 - 0:20)

Anywhere between 20 to 50% of that. I think we've got to change that. Why is it wrong for a celebrity to make money?

Why is it an issue?

[Speaker 1] (0:23 - 0:29)

How do you green light original content? Creativity and commerce is something that should happen hand in hand.

[Speaker 3] (0:29 - 0:42)

I think short form gives you a higher likelihood of success. What do you have to give? That's different.

The creator becomes the product and the distribution.

[Speaker 1] (0:50 - 0:57)

Hi everyone. I like how I'm sitting with the three of you and pretending to know what I'm doing here.

[Speaker 3] (0:58 - 0:59)

That's two of us then.

[Speaker 1] (1:02 - 1:23)

Hotstar makes plenty of content. Another interesting fact that I realized today is the three of you did not know each other before today. And how strange is that?

That the head of the largest multiplex company, the largest streaming company, and the largest talent company of India do not know each other.

[Speaker 3] (1:23 - 1:28)

I mean, I knew of both of them. I'm pretty sure they are joking about just two.

[Speaker 1] (1:30 - 1:35)

And a non-industry, somebody who has nothing to do with content, is friends with all three of you and introducing you.

[Speaker 2] (1:35 - 1:40)

I think the compliment sits with you. I think you're doing something very fine. That's what it is.

[Speaker 1] (1:41 - 1:44)

At one level, it shows the diversity of the industry as well, doesn't it?

[Speaker 4] (1:44 - 1:45)

Absolutely.

[Speaker 1] (1:45 - 2:41)

I met the three of you in the most interesting ways possible. I met Ajay many, many years ago at a common friend's Diwali party. Neeraj's Diwali, right?

That's right. Neeraj's Diwali party in Delhi. And we sat and we spoke for a long time and ate food and stuff like that.

And then we always kept in touch. Sajid is, again, a friend from Bangalore. I knew him when he was the CEO of Google Pay, which is what he did...

Straight headed. CEO is a big deal. Which is what he did before being the CEO of Hotstar.

Vijay and I, we met on this random night in Bombay. So I was walking down Bandra and it was raining and I had an umbrella with me. And there was this guy with all these Bollywood actresses walking on the other side of the road.

Being very cozy with all of them.

[Speaker 3] (2:41 - 2:45)

It sounds like a movie that Ajay would make.

[Speaker 2] (2:46 - 2:48)

And you would definitely scream.

[Speaker 3] (2:48 - 2:49)

You probably would.

[Speaker 1] (2:50 - 2:52)

Is that right? Yeah, that's how I met him. And then...

[Speaker 2] (2:52 - 2:56)

No, that's not how we met him. He and me could travel the world.

[Speaker 3] (2:57 - 3:02)

I was like, don't stop, keep going. You know, I mean, don't stop. Please keep going.

Tell us more. No, no, Vijay.

[Speaker 2] (3:03 - 3:08)

I think the start has stopped by saying, will you ever find Nikhil Kamath under an umbrella walking in Bandra?

[Speaker 1] (3:08 - 3:09)

I don't see that happening.

[Speaker 3] (3:09 - 3:12)

All the time. He's painting a picture.

[Speaker 1] (3:13 - 3:49)

We met through a common friend and we started contemplating what we can do around consumption content or the crossroads of Bangalore and Bombay. Like the tech world here and the entertainment world there. And we started a fund and we kind of like work together and all of that.

But you guys should introduce yourself to each other because I know all three of you. And in a manner that you would not traditionally do. Like, tell them something about you that you would not publicly say.

[Speaker 3] (3:50 - 3:57)

You're looking at me because you want me to start. No, no, I want like the statesman of the industry to start.

[Speaker 1] (3:57 - 5:22)

I just like the senior mode. Just when I was trying to feel it. My traditional family business has been Amritsar Transport Company, which was my grandfather started.

His name was Bijli Pahelwan. A lot of people thought that he was a wrestler, but he wasn't. He used to promote wrestling.

And so that's how my father started. He started the trucking company. My father took it over.

And I was supposed to like a Punjabi boy, you know, studied in modern school, Barakhambad and Hindu, where you went to just take over the trucking company. So basically, my father was into arbitration. He used to settle a lot of family disputes and all that.

And in that one arbitration, he picked up Priya Cinema, which is a cinema in Vasant Bihar. And I couldn't make head or tails of the trucking company. So when I finished Hindu in 88, and I joined the trucking company for two years, and I made a disaster of it.

I just wasn't very comfortable. So I just spoke to my father and I said, can I do something? To the cinema, because cinema was a little decrepit.

It was showing B. You know, you used to have first release movies and you had second release movies. So second release movies used to get played there.

So that's how my business journey started. So 90, I started, you know, renovating the cinema.

[Speaker 4] (5:22 - 5:22)

Yeah.

[Speaker 1] (5:22 - 6:25)

There were two, three influencers in my life. One was Sterling Cinema in Bombay, which was run by the Tatas, can you believe it? They had one cinema, which was brilliant.

It had the only Dolby. And then there was a cinema called Chanakya in Delhi, which used to play only English movies. So English movies used to be, only three cinemas used to play.

And people used to think that movies come very late to India. The reason they used to come late is because the houses, they used to call cinema houses at that time, were only very few. So therefore, if a pretty woman did well, it ran for 30 weeks.

So they used to become a backlog. So that's a little opportunity I found where maybe if I play Hollywood movies in that demographic, maybe, you know, I'll get the movies. Plus there was a big issue of, without boring you guys, Hindi movies used to be in these celluloid canisters.

And they used to be 50,000 rupees a print. And now it's not even like 1000 rupees because it's all digitized. So it was very difficult to get prints at that time.

So I started with Hollywood movies. For two years, I ran Priya. And with the grace of God, it did well.

Oh yeah, it was always buzzing.

[Speaker 3] (6:25 - 6:32)

Just to be clear, you know, it was always buzzing. I thought you were a studio kid who never ran. You know, I'm being found out here, to be clear.

[Speaker 1] (6:33 - 9:04)

So it did well, but I had a personal tragedy, which is the biggest tragedy so far in my life. My dad passed away when I was only 25 years old. And I just started the cinema business.

And then I had to go back to the trucking business. So for 92 to 94, I was running the trucking company, whatever little I understood. And then I used to go back.

And my wife and I got married at the age of 23 in 1990. So I used to go and sell tickets and put posters up. And I used to really enjoy that.

So that was my highlight of my day to do that. But 94, we had another very bad fire in our trucking company. And we lost a lot of money.

And that really discouraged me. And my mom, God bless her, she's still with me. She's 88.

She still lives in the same house as me. And she said that when you go to the cinema, your face lights up. But when you go to the trucking companies, the entire world, weight of the world on your shoulders.

So just forget about this. And I had some cousins in Amritsar who owned about 5% of the stake. I told them, okay, you run it.

I'll strategically give you whatever direction I can. But I just want to jump, plunge straight away into the cinema business. And that's where I was fortunate enough.

I found this opportunity to create multiplexes. And there were no malls. There were no shopping centers.

The only way you could build multiplexes was by picking up cinemas which are not doing well, where the owners were just not interested. Carve them up into two plexes, three plexes, four plexes. And then that's how the journey started in 97.

I opened the first multiplex. And since then, I've just been growing organically, inorganically. Private equity, that's what I was telling you about earlier, played a huge role because it's a very capital-intensive business.

Renuka Ramnath was the first one who cut the check. Then Warburg Pinkers, JP Morgan, ICICI. And it's another avatar through multiples.

And listed the company in 2006. And then just been inorganically growing. Then, of course, the body blow came.

When, you know, the punch in the gut when COVID came because everything was going well. And that's where I realized that putting all your eggs in one basket sometimes, it can be an out-of-shape scrambled egg as well. And not necessarily a good...

So that was, I think, pre-COVID, post-COVID, changed me dramatically. So that's, in a very short, you know, two, three minutes, my introduction. Maybe you guys can take inspiration from Ajay's introduction and do something.

Would you like to go next?

[Speaker 3] (9:05 - 9:06)

Yeah, let's keep the highs going.

[Speaker 2] (9:06 - 9:18)

But it's probably going to be a little bit of a... No, we're going to hit that in the college list of yours very, very soon. My introduction is not as exciting as that.

The most exciting part of my introduction is I stumbled onto this business because...

[Speaker 1] (9:19 - 9:20)

Started childhood.

[Speaker 2] (9:20 - 10:20)

Childhood. Son of an army officer. So born during the peak of Operation Blue Star, hence the name Vijay, because my mom delivered me to be alone in an army nursing home.

They had asked me... My doctor was a Sardar, Dr. Gulati. And he had asked, you know, birthmarks, important, right?

Because it's Bindarwala and it's curfew and all of that's going on. Gulati sir said, your son has come with his own birthmark, which is where the double thumb comes into play. And he's very

lucky.

He told my mom this. Of course, we kept shifting cities over time. Settled in Bangalore in 95.

That's when my dad retired. And started in 2000, stumbled on the opportunity of managing a band in my 11th standard.

[Speaker 3] (10:21 - 10:23)

So 11th standard, you were managing.

[Speaker 2] (10:23 - 10:29)

I was managing because my friends always said I have the gift of the gab. I don't know if that's true or not. They always thought...

[Speaker 1] (10:29 - 10:31)

We'll get to know after the end of the conversation. I guess.

[Speaker 2] (10:32 - 13:40)

So my best friend always tells me, dude, you can sell ice to an Eskimo. So I said, okay. He said, now come and manage this for us and make us money.

I'm like, you're in the 11th standard. What money are you going to make? But I tried that.

And our first show was a birthday party. And thank God, it's Friday in Indira Nagar. The mall that got burned down.

That's where TGIF was. And our drummer didn't show up for three straight practices. And because we were playing Backstreet Boys, boys own fairly easy songs to play.

I filled in on a couple of practice sessions and they said, you know what? This is good. So you're a natural.

The top five days of my life are my marriage, birth of my two children, opening for Iron Maiden in Palace Grounds, Bangalore. Opening for Iron Maiden and the birth of my company, Collective Artist Network. But I think that drumming journey was, I was doing studying on the side.

I was a good student. I was not an A student, rather. First class student.

I wasn't a distinction student. I realized I was in Ramayana, doing my mechanical engineering. And that's when I realized that if right now somebody asked me to go fit a tire, I won't be able to do it.

I realized, bhai, ye nahi hoga. Engineering, engineering. Entertainment is meant for me.

So my induction into the world of entertainment was more because of my band and my musician background. Absolutely. And at that point in time, Mahesh Pupati was just kickstarting a sports management company called Globosport.

It's a full journey, Mahesh and I have now again gone back to being really close. But Mahesh came to my house. We live in Indira Nagar.

We have a two floor. And he took my first floor for rent to start Globosport. So Globosport starts in my house.

And I walked up one day and I just said, can I intern? And they said, sure. That was my journey into the world of sports and entertainment.

And then, of course, life is. In 2009, we moved out to then set up what was at that point in time called Esquan. That journey happened for close to 10 years.

Yeah, 12, 10, 11 years. I think we were very, very clear having an outside in point of view on what's happening in the business. I mean, you really didn't have the concepts of agents back in the day, right?

I mean, the film industry at that point in time during the late 90s to 2000s was pretty much driven by managers. You know, the Mark Mascarinis had just about happened with Sachin and WorldTel. I remember, I mean, God bless him.

Mark is actually my neighbor in Bangalore. So Mark's dad and my granddad were the first two people who built houses on Cambridge layout where we live.

[Speaker 1] (13:40 - 13:41)

You must be from a wealthy family.

[Speaker 2] (13:42 - 13:47)

Who? I mean, I'm not from a... No, actually, I wouldn't...

[Speaker 3] (13:47 - 13:54)

I love that expression. I'm genuinely trying to answer that question. You know, when you have to think whether you're wealthy or not.

No. Really, no.

[Speaker 1] (13:55 - 13:56)

It's like the same thing.

[Speaker 3] (13:56 - 14:03)

If you started building the first homes in Bangalore, you're definitely rich. Also, when you take a salary of one rupee a month or a dollar a month...

[Speaker 2] (14:03 - 14:11)

You're also rich. You're super rich. I come from a place where my job requires sensationalizing everything.

And I'm so fed up of saying...

[Speaker 4] (14:11 - 14:12)

We're doing it for you.

[Speaker 2] (14:12 - 14:17)

I'm so fed up of hearing things like we came from nothing and this. No. We weren't rags.

We weren't riches.

[Speaker 1] (14:18 - 14:21)

Don't you think that thing is overdone? The whole pretending to be...

[Speaker 2] (14:21 - 14:30)

Completely. So no, we were very, very, very clearly middle class. There was no rags to riches story.

But it was neither here nor there. So it was family.

[Speaker 3] (14:31 - 14:36)

Sajid, would you like to go next? I mean, there isn't... You know, from the highs now, let's plumb the depths.

[Speaker 1] (14:36 - 14:40)

The best for the last. Yeah, no, no, no. The most uncanny CEO of Hotstar.

[Speaker 3] (14:41 - 15:25)

Definitely the most sort of unnatural choice. I'm from Kerala, but I grew up in Delhi. And growing

up, I have to say, I was like...

Not even a first class student. I mean, I sucked at it. But I loved playing sports, right?

Like I played cricket and all kinds of sports. Just like enjoyed playing. And I did that.

And I went through school, college. I actually did a master's as well. Did an MBA in Delhi.

And then started working at Star TV. Right? 96.

And I was selling Channel B, which... So these are early days. Cable TV has just joined.

And in those days, it was Rupert's empire.

[Speaker 1] (15:25 - 15:26)

How old are you now, Sajid?

[Speaker 3] (15:26 - 15:28)

50. You're looking.

[Speaker 1] (15:29 - 15:33)

Both of you, actually. This side of the table is aging faster than this show.

[Speaker 3] (15:37 - 15:56)

You know, what struck me, by the way, I should have started with that. You know, I'm the only person on this table who's not an entrepreneur. The three of you are doing what I think is the highest calling of mankind.

You know, which is like, if you're an entrepreneur... No, no, I think you are...

[Speaker 1] (15:56 - 15:57)

You're giving unnecessary credit.

[Speaker 3] (15:59 - 16:03)

I'm like a corporate warrior. Like, at best, you could say that.

[Speaker 1] (16:03 - 16:09)

I think it's significantly harder to lead a large corporation than it is to be an entrepreneur.

[Speaker 3] (16:09 - 16:16)

It may be so, but you know, I think entrepreneurs, they create value and jobs and things where there was none.

[Speaker 1] (16:16 - 16:19)

It used to be a very cool thing in Bangalore. Of late, it's become a bad thing.

[Speaker 3] (16:20 - 17:43)

So we're thinking what to say. It's a bit... Yeah, yeah, I agree.

You're good. That way, I'll take my place in life. And the reason I said all that is, you know, actually one of the shaping moments for me was, I was about...

What was that? About 26 or so. And, you know, I wanted to, like, just study some more.

But I knew I wasn't disciplined enough to go do a PhD and stuff like that. And I also wanted to get out of India. I got admission into...

To me, it's like a fantastic school. The Asian Institute of Management. It's a school in...

MBA school in Manila, in Philippines. And we were middle class. So my parents' mother does the hardest job in the world, which is to be, you know, look after me and my younger sister and my father.

And my dad was working in Indian Airlines, right? Like, back then. So we were comfortable.

By no means were we rich or anything. So, and we had this place that we were living in, which is about 1,100 square feet. And they mortgaged that house to get the fees, to get, like, any rational human being would say, no chance I'm going to take that bet.

But I guess that's what parents are about. And that really made me responsible. And just, like, it woke me up saying, my God, this is like, we have the one place, they live in it, and they're putting it on me.

[Speaker 2] (17:43 - 17:43)

That's entrepreneurship, by the way.

[Speaker 3] (17:43 - 19:07)

I know. I mean, it's one way to think of it. And whilst I had a fantastic two years in Manila, I had a great time.

But it's probably the first time in my life I, like, actually also really, like, studied. You know, because I wanted to, like, make sure that their investment did not go down the drain. So it really

shaped me.

I worked across multiple sectors. But I've been in tech for close now, maybe a couple of decades or so. And I joined Google when the internet was, this is, like, 2007.

And it was just after the iPhone had gotten launched, right? And there's no Chrome, there's no Instagram. None of these things were around.

And it was fascinating just to have a ringside seat and just to learn every single day. The second bit of the story is that Google asked me to go open our office in Malaysia. So I was working with them in Singapore from 2007 all the way through to about 2010.

And 2011, Jan, I went off. And that arguably is probably the most enterprising thing I did, because I had to go build everything from scratch, like went, looked for office space, found a small office, like, that had no windows, had a great address, could see two people. And again, I learned a lot through that.

Now, obviously, I romanticize this just to make it sound more than it was.

[Speaker 1] (19:07 - 19:17)

One good thing about all of this is, you know, competition commission is doing a good job in this industry. If the three of you did not know each other up until today.

[Speaker 3] (19:20 - 23:15)

And the thing that gave me the most pleasure, as well as a lot of learning, was actually finding and hiring great people and seeing them come together. And, you know, there's a lot to be said when an organization or a team is small, you know, and there are 10, 12, 15 people. Yes.

And, you know, there's this concept, right, of a Dunbar number, that if a group is above 150, forget it, like everything just breaks. But just, you know, when you're that size and you all come together and you're trying to build this business. And yes, of course, we've got a lot of wind backing us, but I think just like it just taught me so much about how important people are and how lucky you have to be to find great people who just like, you know, it is just like, it just completely blew my mind.

And, you know, the interesting thing was, because the industry is, the internet industry was so small in Southeast Asia as it was, pretty much anybody or everybody I hired had no background in the internet, right? Like, and they're just amazing people. All of them were Malaysians.

And, you know, just people who were just very hungry, had an X factor to them, just came on board. And so I learned a lot through that whole experience was fantastic. And then third thing was actually coming back.

You know, I think it also taught me the importance of having like a sponsor or people who believe in you. So I had, he's a very dear friend, but he's also somebody I've worked for, you know, like he's been my boss. And he said, look, you know, we're building Google Pay in India.

How long are you going to be in Southeast Asia and all? Come back to India, you know, spend too much time outside. And I told him no chance because, you know, I've never been a banker.

I can't remember the last time I went into a bank. I know nothing about payments. I know India and I know Google.

He said, yeah, that's enough. I said, no, you shouldn't give it to me. Go find someone.

There's so many bankers in India. Go, go do this. But, you know, just I think his belief in me and some of it colored no doubt by our friendship and all of that.

I think he just said, look, just come, just do this. And I had, like, I was starting from scratch, right? Like, sure, I know India, but I didn't know UPI.

I didn't know all the things that kind of go into making it work. And I felt significant imposter syndrome. Now, as it turns out, four years later, as I was leaving, I realized that a lot of others who I was working with had the same feeling.

You know, because I think we all go through this. I got this incredible opportunity to go work at Disney Plus Hotstar. And again, I thought to myself, I mean, how and why?

Because I am, I'm not a content expert. And this business is very candidly. It's about content.

But there are a few things, one or two things I know about tech, right? Like, and that space. And I think, you know, just this opportunity to figure out what this intersection is between what, you know, people love to watch with how we can serve them through what tech does, was, I thought, like a profound opportunity that somebody made a mistake and gave me and said, look, you know, we'd love to have you come and join us.

And it's been just incredible. It's just been 10 months. But to the point we were just discussing, there is not one meeting that I'm in where there is at least not one, if not more people who know a lot more about what is getting talked about than I can ever hope to.

But such a learning moment for me that every day I'm getting the better end of this bargain than frankly the people I'm working with. So that, you know, that's sort of like the fourth piece of this thing.

[Speaker 1] (23:15 - 23:17)

You've been with Hotstar for how long now?

[Speaker 3] (23:17 - 23:18)

Just 10 months.

[Speaker 1] (23:18 - 23:18)

10 months.

[Speaker 3] (23:18 - 23:21)

But A, it feels longer.

[Speaker 1] (23:22 - 23:41)

When Sajid joined Hotstar, right, he had to move to Bombay. We were catching up one night for dinner. And I was asking him, like, you're entering this new world, like, you know, like glamorous world.

He's like, bro, I'm going to stay so far away from all that. I'm going to go there Monday to Thursday and try to be back home in Bangalore on Friday.

[Speaker 3] (23:42 - 24:32)

But mind you, there have been quite a few weekends I've done in Mumbai. Yeah. Fantastic place.

You know, I love the... Has your mindset about Bollywood changed? No, I respect, you know, look, these artists, it's hard to be an artist, right?

Like, it's very hard to be an artist, just to be clear. But I'm not sure. I think there are people, like Vijay, Ajay, colleagues of mine who run content.

I think they know. And they've been in this for a while to work with and handle all of them. And that I don't think is, like, I want to learn about it.

And I engage constantly with my content head and that team. And I'm constantly learning, asking, and all of that. But I just don't think it's for...

[Speaker 1] (24:33 - 24:41)

Actually, the more deglamorized view you take of the industry, the better off you will be in the long run.

[Speaker 2] (24:41 - 24:42)

Could not agree with you.

[Speaker 3] (24:42 - 24:58)

That's the secret sauce. Unconsciously, I can't, I don't claim to have made that choice consciously. I think unconsciously, I kind of wanted to not get into any of those circles because it allows me to make, maybe, more objective decisions than I otherwise would.

[Speaker 1] (24:59 - 25:06)

The mistake that I made in the production business was only this, that you get carried away by the, you know, these people.

[Speaker 4] (25:06 - 25:06)

That is so true.

[Speaker 1] (25:06 - 25:20)

And you end up taking wrong calls on scripts. You end up taking wrong calls on... But you know, that is a testament to evolution.

Like, you're able to recognize and speak about your mistake in the manner that you're doing right now. Like, you've truly digested it.

[Speaker 4] (25:20 - 25:21)

Yeah, yeah.

[Speaker 1] (25:21 - 26:03)

You know, so I, when I worked with Aamir, he told me one thing, that Saraswati comes before Lakshmi. So, it's a creative field. And Saraswati is the goddess of creativity.

But people take Lakshmi prior to that. Straight away, Oh, this will be worth 100 crores. First, look at the script.

Beautifully framed. And so, I think the moment you say that, like, even if you're building a home, the architect will first look at the layout. And he'll see if it's making sense.

Similarly, I know you, it is a creative business. But at the same time, you can't, you know, lose sight of the fact that script is the foundation. And first, you do justice to that.

[Speaker 2] (26:03 - 27:17)

But you know, so I think, I think that's a great segue into another conversation. I think the entire business, from an India POV, is just so new. What I mean by saying is the concept of outside-in, right?

Where to not be a part of the system, to actually create impact in the system, is a very, very new concept. And let me actually flesh that out for you a little bit. I don't think you had, the studios came in, right, back in the day.

Before that, the mark, the production, the way production used to work was not really corporatized, right? I mean, it was, it was a little wild wild west in that sense, right? Then there was the entire satellite boom that happened.

Then now streamers have come in. I think every part, since you mentioned evolution, the front end of the ecosystem has consistently evolved over the last couple of decades, over a period of time. The back end of the ecosystem has also now continuously evolved over a period of time.

You know, there was the concept of, agents really didn't exist in 2000 even. And it was basically an age old family secretary writing dates. Oh wow.

[Speaker 3] (27:17 - 27:18)

Is that right?

[Speaker 2] (27:18 - 30:04)

Absolutely. It was, it was not, I mean, there was no emailing date or there was no contract. You know, it was very, very clearly, very dealt very directly.

I think to their credit, I think Shailendra and Harinder at Percept were the first real godfathers of that business. And that's why I spoke about Mark because when Mark did those lovely deals with, you know, Sachin and Worldtel at that point in time, that was the real starting of the Jerry Maguire journey of the business. Like Mark was probably India's first real agent, masquerade.

And I remember when he passed away, God bless him. There was this star-studded funeral kind of thing happening in his house when we shared a compound wall, right? And everyone had come from Ravi Shastri to Sachin to all of that.

And I remember that Ravi Shastri had won, if you remember this, he had won the Benson and Hedges Man of the City. The Audi had this spot right outside Mark's house. And I was looking at the Audi saying, yeah, what a car!

You know, literally. But I think Mark started it. And then slowly we started getting involved and we started having more and more look into, you know, how can one do this in a slightly more streamlined and organized way to your question of budgets, you know, for whatever comes in.

And I think the studio system brought in some degree of discipline in terms of the way budget works, in terms of the way film works. Today, of course, we are again living in, which I'm pretty certain we'll allude to at some point in time. We're again living in slightly dystopic times when it

comes to the overall commerce of talent, management in platform.

And both of you guys are platforms in a way, right? Marriage between commerce, platform and talent has to find the next level of evolution. I mean, this happened back in the day in CAA or back in the day in the West when actors started participating in gross profit points, was, you know, back in the day.

And, you know, that made such a huge impact to a business. I mean, for the sake of reading, everybody must, you know, there's a book called Powerhouse, which is the story of CAA where you talk about the greatest films that would not have gotten made if the economic structure of conversations didn't change. Forrest Gump being one of it.

Forrest Gump was in scripting, I think for nine and a half years. Well, never got made. It was in the cans.

And, you know, Top Gun or Jerry Maguire, you look at all of these films, the history of these films were at some point in time, the industry in itself took a view on changing the way commerce worked. That was a triangulation between exhibition production and talent. That's when that was literally the point at which the triangulation the business metamorphosis.

[Speaker 1] (30:04 - 32:14)

I think this is a good segue to kind of describe what we're trying to do today. Content, I think, is a huge industry. All three of you are super relevant in this, probably the most relevant in India today.

And we want the session to be everything content from a perspective that any entrepreneur trying to build a business in this industry should be able to look at this video, this show as a reference point, what direction to go in. So I had a few topics in mind. I thought, first, we will define what is content.

We will get rid of evolution of content because I just thought about it. Now, I don't think it helps anyone starting a business today. So the TV is here, all of that.

I think that's irrelevant to somebody starting a business today. So let's ditch it. I think one very important factor here is to define the Indian market size accurately.

Between the three of you, I think we can. I think we can figure out how much all talent earns together, how much all creator distribution earns together, and how much all OTT platforms earn together to create an accurate model for somebody building in this space. We'll follow that up with the future of content in each one of our opinions and which direction these entrepreneurs should skew their startups towards.

And at the end of it, we'll figure out what are the best investment opportunities available today,

public, private, for people who don't want to build content companies necessarily, but people who want to invest and take advantage of the exponential scale of the Indian consumption market, in which I think content fits in very accurately. Let's establish market size first. Okay.

So I looked at the streaming numbers, the OTT numbers of different platforms, and how much different platforms charge. Can you just tell me, like, Hotstar is how much? And the average that a user is paying?

[Speaker 3] (32:14 - 32:36)

See, but now by this time, I'm essentially giving you the Hotstar revenue, right? I think the way you want to do this is, there's a BCG meta report that says that the streaming subscription kind of business in India is about 2 billion.

[Speaker 1] (32:36 - 32:36)

Together.

[Speaker 3] (32:37 - 32:42)

All players, all in ads plus us, Netflix.

[Speaker 1] (32:42 - 32:43)

You followed by Netflix?

[Speaker 3] (32:44 - 33:16)

No, I think Hotstar is the biggest. We are the largest, but after us would be Netflix. I think it'd be there.

Not in terms of number of subscribers, but I think because their ARPUs are much higher. They're about 8 to 10 million. So there's us, then there's Amazon Prime.

Sony Live. I think these four are the main players. Now Jio is clearly in the mix and they will grow and are growing.

So 2 billion is the combat. There are about 48, depending on which source you believe in, there are about 48 to 50 streaming players in India.

[Speaker 1] (33:16 - 33:21)

So this 2 billion number is the combination of advertising, everything.

[Speaker 3] (33:22 - 33:48)

But in that same report, interestingly, they say that the kind of video media business, so that actually includes... Social media in India. No, it doesn't include social media.

It includes television, includes streaming, includes movie studios. Is 2022 was about 12 to 14 billion dollars in India. 12 to 14 billion dollars if you add what?

Television, movie studios.

[Speaker 1] (33:48 - 33:50)

When you say add television, what do you mean?

[Speaker 3] (33:50 - 33:58)

As in TV revenue business. TV revenue. So TV revenues are ads and distribution.

Those are the two main streams.

[Speaker 2] (33:58 - 34:03)

I think what he's saying is Star Plus, plus Disney Odd Star, Viacom, Colors Plus.

[Speaker 1] (34:04 - 34:10)

But I think TV revenue, we have to leave aside. I think OTT and TV revenue are essentially different, right? They're different.

[Speaker 3] (34:11 - 34:28)

But the size of the video kind of business in India, but you have to include TV in that, right? Sort of, you know, it's linear. I know it's not digital, but that's kind of where everybody starts from.

Shah Rukh started from there as well, since we were talking about him.

[Speaker 4] (34:28 - 34:28)

Right.

[Speaker 3] (34:28 - 34:32)

So that's about 12 to 14 billion dollars. Put together. Put together.

[Speaker 1] (34:32 - 34:38)

And how is this number, the 2 billion and the 14 billion growing year on year? What was it five years ago?

[Speaker 3] (34:38 - 34:39)

Much smaller.

[Speaker 1] (34:39 - 34:40)

The combination was smaller?

[Speaker 3] (34:41 - 34:45)

Yeah. Yeah. Combination was definitely smaller.

I mean, five years ago, was Netflix even live? No, no.

[Speaker 1] (34:46 - 34:49)

But Netflix component is two out of 14, right?

[Speaker 3] (34:49 - 34:56)

Very much so. Yeah, very much so. It was there.

See, India has historically been a television market.

[Speaker 1] (34:56 - 35:02)

And it's somewhere that there are some 600 million TV sets in India. The access to TV sets is for 600 million people.

[Speaker 3] (35:02 - 35:13)

The reach of TV, because you have to include Friedrich as well, right? Like the reach of TV is about 800 million people. 800 million people at some point in time during the year are watching.

[Speaker 2] (35:13 - 35:24)

So just from my understanding, if you guys are at 40 and you're the largest, some total of all the other aggregators would be around another 60, 70. So just on S-Ward, not on A-Ward.

[Speaker 3] (35:25 - 35:34)

The size of the number of people who've paid subscription at least once at any given point in time is anywhere between 80 to 90 million people.

[Speaker 2] (35:34 - 36:07)

Just look at that. So if you're talking 80 to 90 million and 800 million on TV, there are two ways I

guess to look at this data. One is how small the actual OTT business is in absolute terms.

The second part, which goes, which I guess at some point in time, segue is the opportunity that's sitting ahead of us. If the creator and platform game becomes synergistic, you're talking about close to a billion people. I don't know if there's any, I don't know if there's a continent across, a continent across the world where that you have that side.

[Speaker 1] (36:07 - 36:11)

But I don't think that's a fair extrapolation. ARPUs are completely different.

[Speaker 2] (36:12 - 36:14)

Yeah, I'm saying I'm putting A-Ward in it as well.

[Speaker 1] (36:14 - 36:26)

If I had one-tenth the number of users in America, they're willing to spend 20 times as much on average. That market is, from a corporation standpoint, significantly larger.

[Speaker 2] (36:27 - 36:29)

Yeah. What happens when you throw A-Ward into the mix?

[Speaker 1] (36:29 - 36:31)

And what is that split, mobile and computer?

[Speaker 3] (36:32 - 37:17)

Oh, but mobile is a high majority. Mobile, computer, TV? Mobile and computer is about, look, you can just put it in the same category.

So because you're saying mobile plus tablets, plus your desktop are essentially about 70, 75% of our users. So keep one thing in mind, even Disney plus Hotstar has two sets of users. There are people who pay a subscription fees, and there's a set of users who come every month, every day, also to consume our free offer.

Because there's a set of- What is that split? It's about, I think it's about half and half, right? Like some of the stuff I'll have to run through and we should make things about.

[Speaker 1] (37:17 - 37:20)

You would say two billion for OTT solely?

[Speaker 3] (37:20 - 37:30)

Yes. But if you were to add- So you have TV, movie studios, and- Can you just define each one? What is TV?

TV would be essentially all the linear TV channels and distribution.

[Speaker 4] (37:30 - 37:31)

Okay.

[Speaker 3] (37:31 - 37:39)

Distribution is what? So all the pay TV, et cetera. So the fees that people pay for it- For cable, essentially.

[Speaker 1] (37:39 - 37:39)

For cable, yeah.

[Speaker 3] (37:40 - 37:57)

And then ads. So ads and TV. And then you've got the OTT business.

We talked about that. Movie studios. So the takings on the box office, et cetera.

Movie studio is? So what they are taking in through- Exhibition. Exhibition.

[Speaker 2] (37:57 - 38:07)

I mean, for the sake of his listeners, because in India, OTT is typically described only as- Streaming, yeah. Streaming. The two billion is streaming plus satellite television?

[Speaker 3] (38:08 - 38:08)

No.

[Speaker 2] (38:08 - 38:12)

Or just streaming? Just streaming. Television is much bigger than streaming.

How big is television?

[Speaker 3] (38:13 - 38:36)

Just television will be at least eight to ten billion dollars all in, right? Like with the number of channels- And is that ratio changing? OTT increasing?

Television increasing? OTT is increasing. But see, television is nowhere near declining as

precipitously as it is in the US.

That is a whole complete- That's almost like a free-for-all. Oh, yeah.

[Speaker 1] (38:36 - 38:41)

Just because I'm not aware and haven't had a cable connection for a long time, what is the pricing of that?

[Speaker 3] (38:43 - 38:52)

It's very- It's like you can pick and choose channels. So earlier, there used to be these bouquets. You had to take bouquets, et cetera.

So now they introduced some regulation. Of course, there are still bouquets.

[Speaker 1] (38:52 - 38:55)

But you could pick just like- But on average, how much does the user pay?

[Speaker 3] (38:55 - 39:02)

I mean, I think the- 600 bucks? No, no. That feels like it's very- Because then they would go to Netflix and Hotstar.

[Speaker 2] (39:02 - 39:05)

That feels like- That's the time I used to have a Tata Sky.

[Speaker 3] (39:05 - 39:54)

So you have to keep one thing in mind. You know, like sports, for instance, like one channel HD. Because now you've got HD channels and you've got non-HD channels.

It's like 19 rupees a month for this. Also, you have to keep one thing in mind. You know, people, I think the concept of paying for television, as in cable TV, is firmly ingrained in the minds of- It's like culture.

It's, you know, it's- Color team. Community. It's like community viewing, right?

That is not the case in like thinking about streaming and all. So there's a lot of work that we have to do to help develop that category. Just to be clear, right?

And that comes from, as you were saying, like entrepreneurs and people who will come in and try and either be great creators or great platforms.

[Speaker 2] (39:54 - 40:12)

But just a question for you in that. Because how do you intend to take that 40 million down to- How are you going to funnel that down the pyramid? What do you need?

Is it more content driven? Is it more- Is it economies? What is it?

[Speaker 3] (40:12 - 40:58)

So, no, it's a great thing to talk about. And mind you, it's not 40 million, right? So there's about- Depending on what source you believe.

Let's just say there are about 80 million people in this ecosystem. No, I'm talking about- No, we should talk about the ecosystem. So it's about 80 million people who pay subscription, right?

See, one of the most important things that need to happen is more vernacular, more regional content. That is super key. Because increasingly, we are seeing that a lot of the content getting consumed is in vernacular languages.

So that's going to be very, very key. The other thing is, you know, what I wonder is, historically, all these platforms that we're talking about is known for long-form content.

[Speaker 4] (40:58 - 40:58)

Yeah.

[Speaker 3] (40:59 - 42:00)

Very, very well-built, et cetera. Why aren't we thinking about short-form, right? Like, you know, stuff that's anywhere between 30 seconds to two minutes, maybe slightly longer, but 30 seconds, two minutes.

And you know, the interesting thing is, studies show- I think this was a Bain study or something. Consumers of short-form content are overwhelmingly male, as much as 75% are male, are 25 years and less. And by the way, majority of them come from tier two cities.

And the high majority, I'm talking 65%, 70%, come from tier two cities and below. That's the demographic there, right? And so if you think of it, there are a couple of things at play here.

One, interestingly, smartphones in India, they tend to get set up, in a majority of the cases, as much as two out of three smartphones tend to get set up by the male in the house.

[Speaker 1] (42:01 - 42:03)

Even though a woman is buying the smartphone?

[Speaker 3] (42:04 - 42:25)

The point is that women are not. Look, I'm not talking about tier one cities. Look, now we're thinking pan-India, right?

And you really want to build out the market and everything. I think just making sure that access to smartphones is more democratized. And so all of that, I think, plays out over a period of time, just in terms of price of these smartphones.

[Speaker 1] (42:25 - 42:31)

And does the gender change when the content becomes longer? The gender ratio, 75-25?

[Speaker 3] (42:31 - 42:36)

Not, it doesn't reverse or anything, but yes, it sort of starts to.

[Speaker 1] (42:37 - 42:43)

So women are consuming longer-form content than males? Is that only in tier two, three, or also in tier one?

[Speaker 3] (42:43 - 43:06)

No, this is majority, I'm talking about tier two and below. But if you keep one thing in mind, the main reason that it's also males is because the access to the smartphone is with the males. And what they do is, what they believe is that their wives or whoever, the women in the family, that they get access to television is like a sacrifice that the male is making.

And so, so they...

[Speaker 4] (43:06 - 43:08)

That's very cultural, right?

[Speaker 3] (43:08 - 43:37)

Cultural, right? So, no, but this has profound implications for anybody wanting to get into business, right? Well, who are you building for?

What can we do to get, actually, more women consuming more of this content on devices that are actually, that belong to them, right? And once that starts to unlock, that's, to your point, Vijay, that is when you truly democratize. Like, that's where you really, this 80 million becomes much bigger.

[Speaker 1] (43:37 - 43:45)

Just to summarize, you said 2 billion OTT purely, 8 billion TV-TV related.

[Speaker 3] (43:45 - 43:47)

Yeah, 8 to 10 billion, yeah, all getting the exact numbers.

[Speaker 1] (43:47 - 43:55)

OTT growing approximately 20-30%, TV growing at a lower rate than that, if that.

[Speaker 3] (43:55 - 43:56)

Definitely lower than that.

[Speaker 1] (43:56 - 45:52)

And if it's growing, that's a part of the market. Moving on to theaters, how many screens in India? What is the price difference between single screens and multiplexes?

Demographically, like he said, how many male, how many women? What is happening in the north of India? What's happening in the south of India?

9,000 screens, number keeps changing, because a lot of screens close down as well. And they close down for reasons which are more to do with building bylaws. Sometimes the cinema is still doing well.

Explain that. But the real estate value of a mom-and-pop cinema owner is much more, the potential is much more than running it as a single screen only of 1,000 seats. So government allowed a lot of, every single cinema owner to convert it into a 300-seater cinema only, and the rest into commercial.

So because so fragmented, India never had chains. If there were 10,000 cinemas, they belong to 10,000 owners. So they found that they could get better value if they converted.

So in fact, which is not very good for the industry. But that's one reason why about 500-odd screens close every year. We open, when I say multiplex association, multiplexes open about 300 screens.

So net about 9,000 screens are total in India. Multiplexes will be about 3,500. And single screen penetration is a hell of a lot in South still.

Again, because of the malls and shopping. Bangalore is an exception. Bangalore, we just opened a 200 screen.

And because everywhere malls are coming up like crazy. But overall, you know, you have less penetration of multiplex screens. You said in 9,000, 1,500 are multiplex?

[Speaker 2] (45:52 - 45:53)

No, 3,500.

[Speaker 1] (45:53 - 50:18)

3,500. And what was the number five years ago? Single screen multiplex?

Because five years ago, so you can minus 1,500. So about 2,000 multiplexes were there. But the total number of screens are not going up.

You're saying the share of multiplex is going. Is a percentage share. So box office wise, 70% of the revenues come from multiplexes.

Because of a higher average ticket price. And people just generally like human nature. And what is that ratio?

How much does the average ticket at a multiplex cost versus the average ticket in a single screen? The average ticket price is 239. So you can say the average ticket price of multiplex would be about 200 bucks.

And the average single screen would be about 80, 90. Because you have balcony still. So balcony still significantly contributes to the ATP.

So those days are gone. People still have that in their memory. Because as I said, 1990 is not too long ago.

When the ticket price was controlled. That's why all this noise keeps coming. That the ticket prices are high.

Is a big problem why smaller cities and villages don't have theaters? Things like compliance and regulation. Like you need to have a fire escape and this and that.

Do they add to the cost? Is that the main reason? And not getting the right locations and destinations.

Where you can convert them into. Plus cannibalization happens very quickly. These smaller towns have also got very small population.

So you make one multiplex, two multiplex, three multiplexes. They all do well. What scale does it make sense to have a multiplex in a town?

I think our smallest city would be like a Latur. Where we have 500,000 people are there. And we still build multiplexes.

Again, small price point. And also the one thing that you're asking about. The difference between various regions.

South, I'm sorry, I'm clubbing the entire South into one category. Tamil, Telugu, Malayalam, Kannada, Hindi, English. Consumes the highest number of films in a year.

And the movie going index is also the highest. Which is 12 times a year. So that's how disparate the market is.

Now the moment you start going towards West, North, East and Central. Only two languages. English, also dubbed English.

Like you said, Escapism, Fast and Furious, Marvel, DC or Hindi. I actually have this number. It says 62% of single screen theatres are in the South.

Correct. 62%. Followed by 16% in the North.

That's right. Because the evolution of malls and shopping centres happened quicker there. And or these smaller films.

Like Punjabi movie only in Punjab. Marathi movie only in Maharashtra. But South is just phenomenal.

So pre-Covid to post-Covid. 90% business is back. That 10% which is not back is because of Bollywood.

Because Bollywood was also contributing to South. And because they are not clicking. It's not doing well.

So it's a very disparate market. A demographic, gender wise I don't know. But age wise it's 12 to 34.

Would you say it's similar? Like movie going out, audience 75 men, 25 women? All I know is women take a decision based on how good the toilets are.

Where should the family go? So we did a lot of study. And we realized that women of the house takes a decision which cinema to go to.

Whether it's your daughter, your wife or your mother or your girlfriend. How do you measure that though? We just got this huge feedback from our own loyalty program.

That the colours that we use, the way the toilet is, the hygiene level, everything. Wow. What colour is appealing and what isn't?

It's got to be. Look, our movies are larger than life, colourful. And if you remember 1990s, the

cinemas all used to be grey.

Correct. So therefore, you know, at the cost of sometimes it looking a little loud. We really try to make sure the teals and the pinks and the magentas and the blues are being used.

It doesn't happen in the West. But in the West, it's like you come, buy a ticket, buy a popcorn Pepsi, watch the movie and get out. So I call them shoebox cinemas.

[Speaker 4] (50:18 - 50:18)

Right.

[Speaker 1] (50:18 - 50:28)

Whereas in India, it's a form of an entertainment. People, you know, they dress up, they come. It's an event.

It's an event. And there's an interval. So you again come back to the foyer.

[Speaker 4] (50:28 - 50:28)

That's what I was saying.

[Speaker 1] (50:28 - 51:59)

When you go to the loo, you think that you're also the hero. The girl thinks that you're the hero. So it's like very difficult, a different culture.

And the point you just said, trailers and intervals and all that. Larger than life, escapism. They don't want to see dreary stuff.

Very rarely you'll find all that. Split of your revenue, you said is 60% tickets. 66% tickets.

I've always wondered if I pay 200 rupees to PVR for a ticket, how much goes back to the person who made the movie? And how much does PVR keep? 50%.

Roughly 50. Is that negotiable? Like if it's a Shah Rukh Khan movie, would you keep 40?

And if it's... So it's a sliding scale. First week is 50.

And then if the movie reaches a certain threshold of box office, then you get a 2.5% bonus to the producer. And if it doesn't, then there's a 2.5% discount. Because there are so many movies...

And when you say 2.5%... It becomes 47.5%. So in the producer's favor... Sorry, our favor, we get 52.5. Producer will get 47.5. And the other way around, if the movie reaches a certain threshold, occupancy and numbers, then next week it goes to 37.5. And then it goes to about

30%. Do you also have a revenue stream where people offer you money for more screens than they would have gotten democratically? No. That used to happen earlier, what they used to call minimum guarantee or theater hire.

That doesn't happen anymore. Now you just release the movie, whatever the box office collections are, you split it on a weekly basis.

[Speaker 4] (51:59 - 51:59)

That's it.

[Speaker 1] (51:59 - 52:31)

So what would you say, Ajay, is the total revenue? Like he said, 2 billion, OTT, 8 to 9 billion, television. Yeah.

In these 9,000 screens, 3,500 multiplex and the balance 6,000 single theater. All the tickets sold, all the food sold, in that ratio, 60, 25, 10 in advertising, in between movies or whatever. Combination of all those elements, what would be the revenue?

Box office is what is reported mainly. That's about 10,000 crores.

[Speaker 2] (52:31 - 52:31)

10,000.

[Speaker 1] (52:31 - 53:38)

But then you can extrapolate and add 40% for the other stuff. Yeah, that's right. But advertising and your F&B revenue, if you add all that and say, what is the theatrical business?

Yeah, but it's about a couple of billion. Very similar at scale, OTT and multiplexes and theaters together. But just one more number I want to throw out there is the global box office.

And to tell you how small India is, 42 billion. 42 billion. So pre-pandemic, the global box office was 42 billion.

You're saying the total of movies across the world. Half of it went to the producers, half went to the exhibition. And then I said exhibition means 200,000 screens globally.

So the 200,000 screens globally got 21 billion. And the producer fraternity, which is all studios and then fragmented, got 21 billion. So that's how big it was.

And then it, of course, dramatically came down in 2021, 22, 22, 23. And now it's slowly inching up. And if you were to compare, because we have like very similar numbers now.

[Speaker 4] (53:38 - 53:38)

Yeah.

[Speaker 1] (53:38 - 53:50)

If you were to go back five years, compare theater income, I'm adding multiplex and theater versus OTT. Five years ago, what would this number be? What is growing fast?

I'm guessing OTT. OTT, yeah.

[Speaker 3] (53:50 - 53:54)

But five years ago, that must have been much bigger than OTT.

[Speaker 1] (53:54 - 58:03)

This would have been insignificant. But is that decreasing? Is OTT growing on the back of theaters?

I think TV shows are something that were pre-pandemic. That's what people were watching. And for cinemas, for movies, they were coming to the...

So I think they were both complementing each other. It wasn't... And the same consumer was happy to let the story unfold over 30 episodes and yet want to see season two.

And he also was going out for a quick fix and watching a movie for two and a half hours coming. I think the lines got blurred in the pandemic. Where because producers could not release the movies on the big screen, therefore...

And cinemas were shut anyway. And they want to monetize their content. A lot of content got sold.

And now, basically, there is some amount which is purely OTT revenue and which is the TV shows, all fabulous TV shows. And some is going through that monetization journey of content anyway. Which is first, it goes to theatrical.

The quantitative and the qualitative benchmark gets set. Then goes to OTT. Then goes to satellite.

So that part, I don't know the exact number. I read this very interesting... The paper spoke about the theatrical window.

So let's say 10 years ago or 5 years ago, the difference in time from when a movie released in a theater to when it came out on OTT. Or you can extrapolate and say VCD, DVD, Blu-ray,

whatever. Used to be a couple of years.

Came down to one year. Came down to six months. Came down to one month.

There have been experiments where they both released on the same day. The movie actually did well. But the theater community had such an issue with it that they were not allowed to release on the same day.

Do you think the fact that a movie is releasing in a theater first helps OTT? I think both... Because it's marketing for the movie.

This is what... Absolutely. So this happened during the pandemic, obviously.

The windows collapsed completely. As I said, for the same reason. Because studios had content ready and they wanted to release it.

And obviously, lots of studios came out with their own streaming services. You know, Warner had HBO, Hotstar. When Bob Iger, you know, towards the end of his book, they launched Disney Plus.

And plus, they were also not very happy to give all their libraries to Netflix. And they want to create their own streaming platform. But then they realized that the awareness of the movie and this $42 billion that I'm talking about and the $21 billion that was coming to them can never get recouped if they go straight to streaming.

So if a $100 million movie gets made and you want to monetize it, it's best to first release it in the first window, which is theatrical. And that wasn't the same 12 weeks or, you know, whatever, two months, three months, four months. They shortened it down to eight weeks.

So they said even eight weeks are enough because of the term that I used earlier called carpet bombing. If you have a big movie, you don't need to, you know, release it after two months or three months or four months. Because when you carpet bomb it, it releases at 5,000, 6,000, 7,000 screens.

And if the movie clicks with the consumers, you'll get your revenue back anyway. So therefore, after lots of trials and tribulations, they decided to get the window back. And it's more for economic rationale.

So that, you know, you make Superman, you make Spider-Man, you make like these avatars of the world. How the hell are you going to get that money back if you don't get that $2 billion revenues? To be honest with you, Avatar would have done $2 billion.

But Russia was at war. So Russia contributed a lot. China had this, you know, zero COVID policy.

So theaters were shut. And yet it ended up doing about $1.2 billion. So Avatar was the eye-opener, which once again made everybody come across, you know, sit across the table like this and say, you know what, let's get the windows back.

[Speaker 3] (58:03 - 58:33)

But tell me, Ajay, do you think people will go to the theater now to watch a particular type of movie? Or will they come regardless? So does it have to be a really big production and glitzy and, you know, watch it on a big screen?

Because, I mean, streaming has sort of somewhat, like people are now accustomed to just watching different types of content on streaming services. Is that something that...

[Speaker 1] (58:33 - 59:54)

I'm still finding TV shows getting more traction. All of us, when we talk about, we'll talk about Ted Lasso. We'll talk about The Hard.

We'll talk about a lot of these programs. I still think when it comes to movies, people still feel that if they say, if content is king, movie content, then theater is the kingdom. I'm not saying it because I run cinemas.

But theatrical people are coming. And I also thought only tentpole movies, big event movies will do well. Suddenly came Kashmir Fires.

Drishyam. Drishyam only had Ajay Devgn. But otherwise, the production value is very, very low.

It was only made in over 200 crores. Gangubhai. Okay, fine.

You still had your art direction was very good. Now Kerala story. And then 2, 3, Vicky Kaushal movie, Karthik Aryan.

So last three, four, five months, now people are saying, I want escapism. I'll go out and watch the movie on the big screen. Please make sure the content connects with me.

They will reject it. They were rejecting it pre-COVID also. They rejected post-COVID, anything that doesn't get their money's worth.

But to defend Ajay's point, if you look at the American market, which is a lot more mature, and we generally tend to lag them a few years or whatever, movie theaters seem to be making a comeback.

[Speaker 4] (59:54 - 59:54)

Yeah, sure.

[Speaker 1] (59:56 - 1:00:02)

Occupancy rates in the recent past, I'm talking like one quarter, two quarters, seem to be going up there.

[Speaker 3] (1:00:02 - 1:00:19)

Yeah, I think, by the way, just for entrepreneurs who are thinking about all this, you know, it's important that the ecosystem be healthy. It is not healthy if there's only one part that's doing well, because, you know, a rising tide is going to lift all boats. You don't want only one boat.

[Speaker 4] (1:00:19 - 1:00:19)

Yeah.

[Speaker 3] (1:00:19 - 1:00:39)

You know, it shouldn't be only streaming. And I think if there is enough help, that movies, television, and streaming, they all sort of come together. And there'll be different points in time when different things have emphasis.

But so long as they're all sort of lifting, actually, it's a much healthier industry.

[Speaker 1] (1:00:39 - 1:00:44)

I so agree with you, because I don't think the question is either OTT or theaters.

[Speaker 3] (1:00:44 - 1:00:46)

No, it's not me. Life is not binary.

[Speaker 1] (1:00:46 - 1:01:49)

What combination of OTT and theater together can aid this ecosystem, which at the end of the day is employing so many people, do better. In fact, during COVID, a lot of people thought we'll panic and I'll object to movies going to the big screen. I was actually very happy, because at least money is flowing back into the production fraternity at a very contrarian view.

Because imagine if these... Because it's a very fragmented market. Studios were having a problem.

Imagine here, mom and pop, 5,000, 6,000 producers who made a movie and they can't release it. So in fact, it's a very healthy thing that they were able to monetize their content by selling it to various streaming platforms. Then they got the money back.

Then it encouraged them to make movies. So even right after 22, 23, can you believe it? We had

1,800 films still.

So if you compare 1920... Oh, wow. Yeah, exactly the same number of films.

And even now, I was just tracking because I didn't know what Nikhil will ask me. Quarter one, quarter two, quarter three, quarter four, 450 films a quarter.

[Speaker 3] (1:01:49 - 1:01:51)

Holy cow. That's incredible.

[Speaker 1] (1:01:51 - 1:02:31)

450 films. One thing I missed in this conversation is I was in Dubai recently and during the football world cup, people were just sitting in front of a screen and watching the football world cup. And they had these sports zones, they would call it.

There is something to be said about watching sport with a hundred people or 200 people, which is a very communal energy. So sport right now for somebody like a streaming platform, how big is it in terms of revenue share? And then I'm going to go to Ajay and ask him, do you think there is a serious play for theaters in sport?

[Speaker 3] (1:02:32 - 1:02:49)

You know, sports is very, very critical to our portfolio. Sports essentially is like, it just creates top of the funnel. A very, very large top of the funnel.

And that's the strategy you are doing. We've been doing it for a while now. I think we were the ones that started it, frankly.

[Speaker 1] (1:02:50 - 1:02:56)

But I'm trying to arrive at the number of, in this $2 billion in OTT, what is cricket's market share?

[Speaker 3] (1:02:56 - 1:04:31)

Earlier, it was a significant share of the subscription market because the last three years, we put it behind the paywall. And so if you had to watch the IPL or the world cup, you had to pay to be a subscriber. We have three month plans that allow you to do that, for example.

But now we're pivoting. Jio has kind of come in as well. So you have to look at it more from maybe the ads revenue it drives, more than it will drive subscription revenue.

And that's the point I was making about it being a fantastic top of the funnel. People are just going to want to come because it's cricket. And so they get onto the platform in literally hundreds of millions in terms of numbers because it's free and it's cricket.

And so they'll come and they'll spend the time. Now, after that, that's the work we've got to do. And our incredible content teams and tech teams have to do and marketing teams have to do to make sure that some percent of those stay on the platform.

See, what you don't want happening is that they just come for the cricket and then they all leave. The majority of them will leave, we get that. But you want a non-trivial percent of them to also say, hey, hold on, I didn't know that that was available.

And oh, OK, I've seen that or a friend of mine had seen that in the theater and now it's available here or the TV show is here. Or and we have to make sure that discoverability and that consumption happens, you know, really smartly. Can I ask you a question around that?

[Speaker 1] (1:04:31 - 1:04:41)

If we believe the paying audience in India for something like this, let's be very liberal and say 100 million people. OK, I'm like really.

[Speaker 3] (1:04:41 - 1:04:45)

I think that's fair. I'm stretching depending on what the price point is. Yeah.

[Speaker 1] (1:04:46 - 1:05:25)

If you were to buy into the school of psychology where people attribute value to price, like if you were to give me something for free, my mind would think it is not worth much. But if you were to package the same product and charge me a thousand rupees for it, I would suddenly attribute value to it. And I also have a trigger point that I've paid once.

So I will stick to the platform for longer. And if we arrive at this 100 million number and these guys have smartphones and access to that much money, would it make more sense for a platform to actually put everything behind a paywall and not have anything for free?

[Speaker 3] (1:05:25 - 1:06:14)

No, Nikhil, because, you know, you have to take into account substitution effect. See, the reality is that it's very... This is not exclusive on one platform.

Isn't cricket when you have the rights? So television as well? The reality is the presumption that there would be high value attributed to it and we'd have a high number to it just doesn't hold because it's available somewhere else.

Right? I mean, yeah. And so that will not work.

If it was only on TV, for that matter, or only on streaming, wait a minute, then essentially you're

making the market. It's for yours to do as you please. Right?

And that is a whole different ball game than as it works right now.

[Speaker 1] (1:06:14 - 1:06:18)

You say out of the 2 billion, cricket is what percentage? If you want to extrapolate?

[Speaker 3] (1:06:18 - 1:06:20)

I didn't say, but it'd be a significant.

[Speaker 1] (1:06:20 - 1:06:21)

50%?

[Speaker 3] (1:06:21 - 1:06:26)

I mean, it's hard. But it's high.

[Speaker 1] (1:06:28 - 1:08:54)

Okay, Ajay, movie theatres and cricket. What do you see going forward? Is there an opportunity for someone to build around that?

I think cinemas are meant to show movies only. But definitely there are peaks and valleys. And when cricket becomes exceedingly more important than movies as well.

And the short form of cricket, I've noticed people don't get restless. Any sport, short form, whether it's a football match, like, you know, we showed the World Cup as well. The moment it becomes long form, even a one-day match is long form.

Or if there's an exceptional match like India-Pakistan, then you can show. But I've noticed people start getting restless. Is there room for integration between a Dream 11 and a PVR, where you have live fantasy competition in a theatre, in that confined setting, amongst people there?

Yeah, if the GST comes on, why not? Like, can there be innovative things like that? Of course, we have to.

If you're all agreed on the fact that the community nature of watching sport is invigorating, and it's exciting for people to be in that environment, how can somebody tweak cricket and theatre together to make it more fun? Yeah, we've done that, Nikhil. So that's the closest thing.

So basically, there is a stadium. Actually, being there, number one way of watching it, let's say, all the facilities and comforts are there, and going in and going out is easy. But I think just because we all agree on that community, right?

I think there's something there for theatres to use that community aspect with cricket. Next thing to live. Then, you know, watching it at home.

So this was incredible that you guys broke down and defined market sizes in the manner that you did. In some ways, OTT, movies, movie theatres, I can even extrapolate to movie producers, directors, people working around movies. All of them are not having the best time in the world right now in terms of profitability, in terms of institutions which are cash flow positive or like profitable, net-net profitable.

And many people think the problem lies in one place. And let me euphemize what I have to say.

[Speaker 2] (1:08:54 - 1:08:56)

I'm ready. Come on.

[Speaker 1] (1:08:57 - 1:09:33)

Let me euphemize what I have to say and say, not entitled, but do you… Is that euphemism? Do you think if a movie or if content's budget, 50% of it is spent servicing, not even talent, but servicing that two or three people amongst a few hundred of the people you can put in the category of talent.

Do you think something is wrong with the ecosystem?

[Speaker 3] (1:09:33 - 1:09:39)

I'm asking you this. Which I remember, a good business usually makes money and healthy business.

[Speaker 2] (1:09:40 - 1:09:41)

So basically, you're being nice to me.

[Speaker 1] (1:09:45 - 1:09:53)

And you manage all these people with really large egos. We are cognizant to the fact that you manage most of them.

[Speaker 2] (1:10:01 - 1:13:04)

Yeah, I think this is a long-standing debate. And I think it's a great conversation to call out the elephant in the room. Everybody's here to make a living, right?

Everybody's here to… You're here for part of the $2 billion. You know, you can choose to charge what you want tomorrow if hypothetically, you have a subscription fee that a consumer who is at

a particular socioeconomic class may not think it's valuable enough.

You run what you run. And obviously, you're validated or not by the consumer paying for that. I think my business is pretty much the same.

It is a marketplace of a buyer and a seller. So I think the simple answer to that is, what really are the economics that make it work? So if you don't want to pay on the front end, right?

If you say, if you tell a guy that, I don't want to pay this to you right up the front, could say it costs, it really loads the film up front. What are the economics of the back end, right? How is it favorable in the back end?

Are studios today willing to work under 50%? Are studios today willing to work by parting IP? Are studios willing to work by changing the economics where it changes in a way where everybody in the process makes money?

Are producers of feature films today are in a position where budgets can be clean, right, in front of a performing artist? Music licenses and royalties being paid out to a co-producer at a certain degree of transparency. How are you evaluating these rights?

Some of the digital and satellite rights are diminishing, right? They're not accretive. You're not going to pay for the second cycle of a film that you bought.

You're not going to pay the same money that you pay for the first cycle of the film that you bought, right? So I think there's a lot that goes at play. I think, yes, are there room for certain corrections and prices?

I think it's not very different. I think today, if you're shopping in your world, if you're going to a flip cart and shopping and you find a particular product SKU expensive, in a month, they discount the price, right? That SKU is not selling.

Why are the rules of marketplaces different here? Because someone's famous? I don't think that's fair, right?

I think that's a very unfair argument because the easiest thing to do is to bell the loudest cat, right? But the fact of the matter is, yes, given it could be one or two or a handful of people who may be spoiling the economics at scale by and large. But I don't think that's the rule.

We are at a very, very strong precipice in the business. Right? Because never before has the business been given an opportunity where artist, platform, whatever the platform is, it could be a big screen, it could be a small screen, medium screen, artist, platform and creator have the opportunity of coming together or deriving a new model, right?

I'd like a global multinational studio to tell me that they drop financing below 50%.

[Speaker 1] (1:13:04 - 1:13:05)

What does that explain?

[Speaker 2] (1:13:05 - 1:13:15)

Typically, when you do a studio deal, the studio back, the financier backs 50% of the film and 50% stays with the producer, right?

[Speaker 1] (1:13:15 - 1:13:17)

So are there three entities? Studio, financial?

[Speaker 2] (1:13:17 - 1:13:35)

No, so I'll tell you how. So for example, Nikhil is producing a film, Nikhil is the studio, Ajay sir is the producer, right? Nikhil is paying him to make the film.

So you take 50%. So he's diluted from 100% to 50% of his idea, right? What's there to share?

[Speaker 1] (1:13:35 - 1:13:36)

Is that the typical ratio?

[Speaker 2] (1:13:36 - 1:18:05)

That is a typical ratio. These guys will back me on this. I'm the actor.

You're saying, okay, you know what, bring down my fee up front. But then I'm going to ask you, are you going to come clean with your budget? Right?

So for example, Ajay sir says I made it 100, right? Sure. How do I know you made it 100?

I'm hoping you made it 100. I'm not doubting transparency here, but it's also that, you know, I'm not going to sit and hire an office of 10 people to see. You are doubting transparency because that's the premise of what you just said.

I'm not doubting transparency. I'm doubting the model. Here's what I'm saying.

Listen, not all apples are rotten, right? That's the truth of the matter. I think what happens in the celebrity world is because they're celebrities, the ability or the inability of them to get out of commercial led conversations on capitalism specifically, why is it wrong for a celebrity to make money?

Why is it an issue? If you are saying that event films work, please give us the event films as producers and makers of content. If you are saying that star films work, please pay the star

because of whom that film is working.

You can't put us in the situation where it's an either or situation where neither do we know what's happening on the back end of things. I don't know today, how do I calculate music royalties for my music composer? In the spirit of complete transparency and candor, I will take one name.

I represent Preetamda, right? I believe fundamentally that we've been managing Preetamda for a while. I don't think there is, I don't think today India can celebrate without Preetam's music.

That's the truth of the matter, right? I don't, if you go to a DJ and say, in your sangeet, remove his playlist, I don't think you'll last. That's the truth.

Your party won't last more than two hours. Technically, if music royalties flew in the way they flew in the way they did, he would be Taylor Swift in her $10 billion tour right now. Fundamental problem is what?

You're not making money because the truth is you're not making as much money rather because he's making $2 billion in a $50 billion market. You're making $2 billion with one tenth of the population of the country being on your platform. All of us are playing in the same economies of scale.

So the plate really is that big. The issue is, how do you want to slice the pie? Right?

And I'm telling you, as somebody in the community and somebody who's fronting one part of the community, I'm more than happy to engage in a conversation of, is there a new model that we can explore? Don't just slap it and say, you're charging a high fee. Of course, I'll charge a high fee.

Why shouldn't I? Right? If it requires, hypothetically, an awakening from a consumer or from a platform or from a competition to disrupt price points, right?

I'm turning around and saying, you guys are, the production fold is basing this on content. Right? The raw material of content is creative.

So to address the first point, it starts with the creator. All your business models come to nothing if the creator system is not solid. So my question to a platform, sorry.

But that's the thing. Is the creator system, is it solid? It's not, sir.

But that's exactly what I'm coming and telling you. What incentivizes me to do today to become a writer? I'm asking you a very simple question.

He just said that 90% is working. 10% is not. Bollywood is not firing.

What incentivizes me today to become a Bollywood writer? Why is the writer's strike happening?

Because in that part of the world, writers are treated with as much reverence as a director or an actor, because he's creating the content.

Sure. So my question to you guys is, and to not just you, but to the larger producer community, is how do we tell better stories? Because when to your point, so you're talking about Kantara, it came from a story.

You have somebody out here who told you during our break that as an audience, it didn't resonate to him because it came from Bangalore, from his part, from his home south. Because no, it resonated because it came from his town. So in Kannada we say, which means son of the soil, right?

Because better stories make for better films. Better films make for better economies. And hence it becomes better for actors.

[Speaker 3] (1:18:05 - 1:18:19)

The reality is though, it seems like stardom is bestowed on the very few. Is there a world where that part would be, would instead of like a few in the head, there'd be a broader torso?

[Speaker 2] (1:18:20 - 1:21:05)

Like I said, every crisis leads to an opportunity. In my book, at least most of us in this room agree. What has the pandemic done?

It has effectively redefined a lot of things, right? Today, I represent, the company rather represents YouTubers who make as much, who make a lot of money by creating content now. Today, one of those content creators were on your platform.

And his show performed really well. Bhuvan Bam. He moved out of YouTube to do a show with you.

And we were very, we were instrumental in putting that together for him, right? And what happened then? The truth is very simple.

He made content to a part of his world where it really resonated, right? Which is North Delhi, hypothetically, right? Titu Mama worked in that part of the world, right?

It just legitimately worked. He's a writer. My fundamental problem in the business right now is, okay, given that we are starved for source content, right?

There was an era where remakes used to work. Today, the era is not there. Remakes don't work because films in the South are trying.

We are now looking at a pan-India film scale. What you're defining as stardom, I would bucket it

differently. Today, if you're in the United States, you have six pools of stardom, right?

You have Mr. Beast, who's a digital star. You have Tom Cruise, who's a Hollywood star. You have LeBron James, who's an NBA star.

Then you have an MLB star. Then you have an NFL star. There's an ecosystem where stardom can come from anywhere.

There's Kylie Jenner, who's a star born out of Instagram, right, hypothetically. India is getting to that point right now. So the simple usage is what, if I'm not wrong, if my data shows me right, we're what, 400 million on YouTube, 200, 300 million on Instagram.

There's still a two-platform social media play as that diversifies, right? If the TikTok hadn't shut and one of our local platforms had fired, we would have had more such creators come out. That's true.

CarryMinati has 50 million YouTubers. CarryMinati, which means, to your point, 50 million people, or approximately thereof, I don't know the number, have clicked on that bell icon. That's subscription.

Exactly what you expect. So there is a way out. There is a world out there.

They need to be groomed. They need to be created. The bar is very different, but I see your point.

Now, when it comes to stardom, I'm asking you, what is stardom? Because you, and all of us, and everybody in this country has known stardom only from two pillars, the movie industry and cricket. That's it.

So you're feeling a dirt of stars because this country hasn't seen anything outside of a Sachin Tendulkar, a Virat Kohli, and Amitabh Bachchan. And now a Deepika.

[Speaker 3] (1:21:05 - 1:21:11)

That's what I'm trying to get at, which is, how can you get a broader base? It'll happen, sir. Of names.

[Speaker 2] (1:21:11 - 1:21:20)

Today, you have someone like a divine who means something to probably a million kids who are rebelling against the system.

[Speaker 3] (1:21:21 - 1:21:36)

But then, you know, Vijay, what you're saying is, again, to go back to the original, like, what kind

of business ideas are there? Instead, you're almost saying that, look, if you're building, if you're wanting to build a business, it's okay if it's not for 100 million people.

[Speaker 2] (1:21:36 - 1:24:00)

I don't, I'm not saying that. I'm saying today as a platform, if I came to you with a show, you're not going to green light a show with me if you don't have IP, which means I need to make my money up front. Because technically, what are you saying?

You're saying, you do the work, make the food, sell it to me, I eat it. Then, okay, I decide what to charge for that dish. You don't.

And you have no business to tell me what to charge for that dish. Because you're not giving me a share of it. If you tell me, come to the table, here is the cookie, let's split it.

You change your model, I change mine. You don't, I charge and I take and I'm not going to be guilty about it. Because you're not changing yours.

Why do you think musicians in India don't make money? For all the Bollywood song and dance we talk about, why do you think they are reduced to making money from weddings, corporate shows? Why don't they get music royalty rights?

The top 10 richest celebrities in the world, 70% are musicians. India doesn't have one in the top 1000, I guess. Why is that?

When the big fat Indian wedding is a global phenomenon, you don't have a single musician there? Because somewhere the system is not allowing, the right system, the IP system in this country is not allowing the least, the last benefiter, which is the creator to benefit from it. Hence, why should the creator be holding to a regulated form?

On content, the call out is very simple. Don't blame it on the actor fee. For example, in the US, on Ghostbusters, they made money off of video rights, this video on demand rights, which means whenever they sold VHS, they made money.

Will you give me syndication across different countries? When Hotstar opens up in 160 countries, will I get money from those countries? When Taza Khabar plays in 200 countries, will I get money from those countries?

Will I have a share of the global business? Let's talk about the waterfall business-wide across OTT and across theatrical. Let's see how the pie is being modeled.

Because what we are being told is because we are putting the money, we take 50 percent. What the end creator is being left down to is a salary. So he'll charge the highest salary and there's nothing wrong with that.

[Speaker 1] (1:24:01 - 1:24:49)

I also resonate with him from a very free market principle capitalism standpoint. If somebody is paying for a certain service, I don't think we can blame the person who's charging for that service. No, not at all.

All I'm saying is that, like you said, everybody's not the same. When we were doing production, and I'm not saying we were holier than thou or anything like that, but I found that we were putting everything on the table for sharing and stuff. And yet, the actor fee and the talent fee would not come down regardless of his performance in the previous film.

So all I'm saying is that sometimes a haircut is also important because you look at…

[Speaker 2] (1:24:49 - 1:24:53)

I just saw the haircuts happening. I can assure you as we speak, being in the business right now…

[Speaker 1] (1:24:53 - 1:25:04)

But there's an assumption that the producer and the financier will not be transparent. I'm saying even if you're transparent and the script is good, the creative aspect is good, sometimes the movie became unviable.

[Speaker 2] (1:25:04 - 1:25:11)

No, I'm not talking about transparency. I'm talking about what's in the model. I'm not talking about transparency.

[Speaker 1] (1:25:11 - 1:25:17)

No, Sher, one example, I don't want to give any more names, where actually the back end happened and it worked for everybody.

[Speaker 2] (1:25:18 - 1:25:21)

I know multiple examples. Yeah, multiple examples. We know multiple examples.

[Speaker 1] (1:25:21 - 1:26:24)

But some people just didn't budge from their fee regardless of how their previous performance was. So then the producers end up losing their shirt. But can I ask a question, Ajay, both to Ajay and Sajid?

If a star has… You've funded the movie. Either of you have produced it in one manner or another.

And the movie has not done well. Why are you going back to him and paying that kind of… No, I'm saying suppose the script is right for that actor.

And you feel… No, sometimes you feel like… The example that I had was that everything was done.

And the film was for that actor only. Because you can't just make anybody act like anything. Sometimes the roles are specific.

But regardless of the previous performance of his movie, where he lost money and the producer lost money, he did not budge from the fee. He said, this is what I charged for so many days. And it doesn't matter if in my previous movies, the guy lost his shirt.

So then you go to the next guy.

[Speaker 2] (1:26:24 - 1:26:24)

You're right.

[Speaker 1] (1:26:24 - 1:26:56)

Then you go to the next guy. Then you go to another guy, another guy, another guy. And then you realize…

How important is the star? I don't know. In bringing audience into a theater or to stream a certain show…

Very important. Actually, this is very pertinent to you. Because let's say we see actor, let's say, I don't know, Akshay Kumar on the thumbnail on Hotstar of a certain movie.

What is the likelihood of people clicking on it versus the unknown person? Is it the determining factor?

[Speaker 3] (1:26:56 - 1:27:17)

You haven't done the analysis, but you would presume that it'd be higher. But I think that goes to, again, goes back to the point, I think platforms like us and others, we have to do our best to develop a longer sort of torso of stars, in a more deliberate manner.

[Speaker 2] (1:27:18 - 1:27:51)

I think they're all waking up to the creative economy. There's no doubt about it. Every single platform, it could be either on the content side or the commerce side, everybody is looking at the next 100, 200, 300 million of people coming into data, internet, etc, etc, etc.

So let's understand the root cause. To your thing, I don't think the answer, I genuinely don't think,

and I would genuinely, because Nikhil's platform is such a wide reach, I think the call-out really is everything starts with material.

[Speaker 3] (1:27:52 - 1:28:49)

No, that's exactly… Because the point that Vijay made about story, because here's the way I see it, I'm by no means an expert, right, like in this, but a great star or a fantastic actor, even if unknown, cannot land you a weak story, no matter what. But if the story is amazing, even if you cast an unknown scam person, but is a good actor, and you market it well, you partner well with folks like Ajay and others, and you really let it like sweat and build out, all of a sudden you've created something with the right economics, if you will.

Because you had a great story, and then you tell that story. And that's how you grow this torso.

[Speaker 2] (1:28:51 - 1:30:13)

That is the key. And I feel it's happening. The good thing about it is, it's not like it's not.

I feel today, if you look at your own data on your platform, if you look at Night Manager, or if you look at Taza Khabar, or for example, if you go to Netflix and see what Scoop has done, or what Scam did for Live, all of it is coming from great source material. I mean, Harsha Mehta was great source material. Game of Thrones is great source material.

These are all coming from really strong. So my question is, the question that your content teams and our collective content teams need to answer is how many new writers are coming into the business? No, it's a fair point.

Because more to his point on Kantara, Kantara is based not on Rishabh Shetty, it's based on great writing. It's based on a story. And you know the reality is, writers are not fetid.

You know, if you actually, I recommend this to you guys, and to everybody watching it, if you actually read Powerhouse CA, it's a very interesting book. And I tend to go back to it a few times. And then you talk about the fact that the, you talk about how Bad Boys was birthed, right?

From a writer from USC, right? Or you talk about how ER was birthed. The producers and writers of ER make money of ER till date.

I would like to know whether the writers of Kyuki Saas Bhi Kabhi Babuthi make money till date. I would like to know the writers of Kahaani Ghar Ghar Ki Kusum.

[Speaker 1] (1:30:14 - 1:30:27)

By the way, these shows, I think brilliant writing. I grew up watching them. I watch Kyuki Saas Bhi Kabhi Babuthi and Kahaani Ghar Ghar Ki every day with my mother for, I don't know, years.

I know Tulsi, I know different versions of Tulsi.

[Speaker 3] (1:30:27 - 1:30:29)

I know Mihir. Anupama is running for multiple years.

[Speaker 1] (1:30:29 - 1:30:29)

Yeah.

[Speaker 3] (1:30:30 - 1:30:36)

Today, my question is, if they're not incentivized. Yeah, but that's a different point.

[Speaker 1] (1:30:36 - 1:30:39)

But that's a different point. They're getting incentivized.

[Speaker 3] (1:30:39 - 1:30:56)

The model. I'm talking the model because you found the bottom. One is you're saying we need to find great writers who tell great stories.

Today, that's just not happening. But the other point you're making is the structure of these contracts or deals, they need to be fairer.

[Speaker 2] (1:30:56 - 1:31:01)

Let's break the wheel on both sides for the wheel to be broken. Otherwise, the truth.

[Speaker 3] (1:31:01 - 1:31:10)

So why aren't there more agents representing writers or agents going out there finding? We are genuinely trying. But do you go out and try and find great writers?

We're genuinely trying.

[Speaker 2] (1:31:10 - 1:32:04)

And I'm telling you, platforms like this. You're heading a platform today. You're the head of a platform.

I'm the head of a big talent network, right? If we call out today saying, you know what, if you're a writer out there with 10 great ideas, send it over to us. Because see, the truth of the matter is these are great.

And you know, the difference between CTA, right? It's call to action. We can have a great

drawing room conversation, a great podcast.

This will reach people. You know, they will all hear varied degrees. I mean, me being least intellectual and you guys being where you're at.

But the truth of the matter is the real impact all of this comes from a very singular point to your point. How does Torso get created? George Clooney got created by ER.

That was in the works for years. George Clooney got created because of ER, right? Or sex in the city happened to Sarah Jessica Parker because of a script.

So you find the script of Pratik Gandhi. Who was Pratik Gandhi before SCAM?

[Speaker 3] (1:32:05 - 1:32:27)

That's your point. Look what happened. You know what India needs?

India needs, because you know, we have all these talent hunts, right? For actors, bowlers, batsmen. India needs a talent hunt.

It won't rate on your screens. It won't rate. But see, that's the point.

I think you've got to think about how do you make it rate? How do you make it in a format that people participate?

[Speaker 1] (1:32:27 - 1:32:33)

All three of you benefit from something like this. Maybe you play the long game and don't do it for money. No, no, I hear you.

[Speaker 3] (1:32:33 - 1:32:33)

I hear what you're saying.

[Speaker 1] (1:32:33 - 1:32:35)

My daughter's a writer. You and I were discussing this.

[Speaker 3] (1:32:36 - 1:32:52)

No, I hear you. I was thinking of it like, hey, it has to do this. I think the point of this is how do you do it in a manner that it is interesting?

Do you know what I mean? Like, you want to do this because you want to make it interesting. You want to make writing cool.

His point is it's not cool, right?

[Speaker 2] (1:32:52 - 1:34:45)

These are fundamentally creatively vulnerable people. They need to be held. They're not executives.

Sure, sure. If you don't give them a support, if you don't give them... Somebody has to wake them up every day and say, I've got your back.

So to your point, my whole thing about... That's why footballers and cricketers and all have agents. Yeah, absolutely.

I mean, we have to go out there and we have to say, what are the next hundred stories that we can tell? We'll figure out the format, long, short, anything. All of that is available today.

You have to come and tell me that as creators of that verse, which is why I was telling, sir, maybe it's time for the model to break. Because who set these rules? A board in LA?

Right. But that doesn't work in India anymore because you're facing the problem. You are facing the problem because I am telling you on behalf of the artist community that unless I have an upside towards my creative interpretation, I don't see the need to please you.

And because I'm more famous than you, you'll throw big bats at me. Nobody will point the finger at you. Only Dalals, only the street will.

But hey, I'm a consumer. I don't look at the street. Just to be clear, we want to partner deeply.

No, I know. It's a construct because everybody says this. You know, if you look at all, all, all articles, Bollywood undergoing a slump and et cetera, because A-listers charge too much.

Maybe a few do. But then what are we doing to change it? Are we all saying, okay, you know what?

33, 33, 33. Are we all saying, you know what? 26, 34, 45, 50.

These are the ways we'll monetize. First profit out. How do we build those models in?

I won't charge cost of capital. For example, you have 50% of the equity. Then you charge cost of capital on top of it.

Then you're taking the first waterfall out because you're the financier.

[Speaker 3] (1:34:47 - 1:35:03)

You know, but the only thing is just in terms of, again, I keep going back to Nikhil's thesis, right? What are the business ideas, et cetera? The only challenge is these fields are so creative, right?

Acting, writing, directing, et cetera. I just don't see how you productionize this.

[Speaker 2] (1:35:03 - 1:35:35)

It's happened, sir. It has happened in the past. And this is what the writer's strike and the fag strike is going to lead to happen in LA.

How do you productionize great writing or great acting? You can't assembly line it. But what you can do is you can ensure that today when a J.J. Abrams gets signed and gets popped and he creates bad robot, where J.J. Abrams, you can't find it, I can't find it. Hansel and Gretel can find it. You know, because these guys have that knack. You, I mean, Pritam can find a great song.

I can't.

[Speaker 3] (1:35:36 - 1:35:44)

Right. But framed another way, what I'm saying is somebody watching this says, you know what, I will revolutionize the writing industry in India. Is that possible?

[Speaker 2] (1:35:44 - 1:35:55)

That's not feasible. Let's put together a content fund that powers only content writers. Let's put aside 10 crores that will buy 100 scripts, 100, 1000 scripts for you.

So, so hold on.

[Speaker 3] (1:35:55 - 1:36:02)

So then for, for an entrepreneur, you're saying that the person has to raise money in order to be able to do.

[Speaker 2] (1:36:02 - 1:36:04)

I don't think this is forget about us.

[Speaker 3] (1:36:04 - 1:36:06)

I'm, I'm talking about, I'm thinking about something.

[Speaker 2] (1:36:06 - 1:36:08)

I don't think an entrepreneur can desert you.

[Speaker 3] (1:36:08 - 1:36:11)

And he's saying, you know what, actually, this writing industry is a big opportunity.

[Speaker 2] (1:36:11 - 1:36:54)

I'll tell you why the entrepreneur might not be able to get it. And I could be wrong. And I could be very, very wrong.

And I don't want to put the carriage before the horse. This is a business that requires a Rolodex. Because even if the entrepreneur has the material, he might like, how many years does it take for a good song to reach a right person?

There are, there are so many good material out there today on that you'll find that you'll never meet it. Because how do they meet an Ajay Bijli? How do they meet a Sajid?

Oh, it's very easy. What I'm, what I'm trying to say is, so what did, what this means is e-commerce happened because one Flipkart happened. Food delivery happened because one Zomato happened.

[Speaker 3] (1:36:54 - 1:37:08)

But hold on, hold on. See, you know, Flipkart, Zomato, etc. Look, they can literally, Nikhil, Zerodha, you can literally start in your room and get going.

But you're saying there's no chance for anybody to do that in this industry.

[Speaker 2] (1:37:08 - 1:37:10)

I'm not saying there's no chance. I'm saying the odds are tough.

[Speaker 3] (1:37:10 - 1:37:18)

I'm saying the odds are tough. Here's what I'm saying. So see, that's the bit, no?

Then this is a hard business to get into is kind of like what Nikhil's viewers are going to take away.

[Speaker 2] (1:37:19 - 1:37:44)

The truth of the matter is if you're telling me five global OTT corporations are at $2 billion, five global OTT corporations, and the down round of a commerce startup is at $8 billion, right? Your, this business inherently does not have the scale this business has. So it is not that easy to start.

But those are two different things, no? It is not, sir.

[Speaker 3] (1:37:45 - 1:37:47)

Because I mean, commerce has just vastly begun in entertainment.

[Speaker 2] (1:37:47 - 1:37:52)

Understand the journey. What's the journey? What's the journey of a script?

[Speaker 3] (1:37:52 - 1:38:05)

No, but Vijay. No, just look at the path. Ajay said, no, that the average was what?

12 visits to the theater. Yeah. In the south.

That's the max. People buy 12 things in like a week on an e-commerce platform, right?

[Speaker 2] (1:38:06 - 1:38:10)

Hence, I'm saying the barrier to entry in this business is much higher.

[Speaker 3] (1:38:11 - 1:38:16)

So there's no way to do like a UPI of script writing, for instance, like just totally.

[Speaker 2] (1:38:16 - 1:38:19)

Will he get the time from day or from your content? I don't think so.

[Speaker 3] (1:38:20 - 1:38:25)

No, but that's the point. No, you're likely, they're likely to be 10,000 scripts.

[Speaker 2] (1:38:26 - 1:38:27)

There are six platforms.

[Speaker 3] (1:38:27 - 1:38:38)

How do you get to, how can you assess like that the scripts worthy of getting to that content? There's an entire creative community that does that. How is it any different than modeling?

[Speaker 1] (1:38:38 - 1:38:48)

For example. What if you put all the scripts on a platform? And script writers rate each other.

And that hierarchy helps.

[Speaker 3] (1:38:48 - 1:39:03)

There's a moral hazard there, you know, though. I mean, you're just incentivized naturally to. But how is that different from, I guess I'm just thinking aloud, like, you know, for when, when, when

scientific papers are published, it's the same on you.

Maybe there's a possibility.

[Speaker 1] (1:39:03 - 1:39:09)

And it's a way to retain as a possibility. Ownership, because the guy who posted it will be recorded amongst touching.

[Speaker 2] (1:39:09 - 1:39:09)

Yeah.

[Speaker 1] (1:39:09 - 1:39:10)

And he will always have credit.

[Speaker 2] (1:39:10 - 1:39:29)

The problem there will be even then, because writing is not a front of camera, sexy business. The only way to incentivize for someone to have a career in writing is by off the board, announcing a commercial construct that they know that this can become a career. So that's part of this part of this business idea.

[Speaker 1] (1:39:29 - 1:39:33)

But that announcement has to be made by the beneficiaries of him writing.

[Speaker 2] (1:39:33 - 1:39:53)

Exactly. Which is you guys. Which is us.

That's exactly what it is. So that's what I get. The truth of the matter is, if you say that you will get 2% of this non of this scripted show for the rest of your life.

And you're an owner because you're creating this giving 2% as an argument number. Right. See, see the excitement that it creates.

[Speaker 3] (1:39:54 - 1:40:09)

But the idea here is essentially maybe there is a, an Uber or a, or an Ola for script writers, where you all come together. And, and you create some kind of this demand supply.

[Speaker 1] (1:40:09 - 1:40:10)

And there's a green lighting process.

[Speaker 3] (1:40:10 - 1:40:12)

Yeah, maybe.

[Speaker 1] (1:40:12 - 1:40:26)

I think somebody can build something around it. And I think at the very beginning, you don't even have to worry about copying and stuff like that. You just give it a open space for writers to even talk and discuss and connect with each other, which I don't think is there today.

[Speaker 2] (1:40:27 - 1:40:53)

So I feel as the, as the stakeholders of the community who are both platform aggregator, right. And in some cases, producers, it's incumbent on for the success of that $2 billion to scale. For this $2 billion to scale, it's incumbent that.

More stories. We have more stories, more stories will lead to more stories.

[Speaker 3] (1:40:53 - 1:41:04)

I would like just a wider variety of stars, actors. Yeah. And he's saying the path to that is actually great stories.

Which I completely agree.

[Speaker 1] (1:41:05 - 1:41:16)

No, I, I agree. And I think you both are in similar places in what you're saying. There's some tiny tweaks.

But now that you have, you're here, I think you'll be able to evolve to the next step.

[Speaker 4] (1:41:16 - 1:41:16)

Yeah.

[Speaker 1] (1:41:16 - 1:41:24)

But coming back to market size, like they established. We had to get there. Can you corner him on something at least?

[Speaker 3] (1:41:28 - 1:41:31)

How well he changed the whole narrative about him being stars.

[Speaker 1] (1:41:31 - 1:41:45)

Now it looks like he defended writers all along. I have to actually ask him, how, how big a part did he play? I wouldn't like to say problem, but an inflating actor salary.

[Speaker 3] (1:41:46 - 1:41:51)

But he's incentivized to do so. He's only doing his job. So to be fair, there's nothing wrong with it.

[Speaker 1] (1:41:51 - 1:41:54)

But we can still ask how big of a part he played.

[Speaker 2] (1:41:54 - 1:42:06)

I think I played the same part that the producers paid when suddenly their digital acquisition rights of films shot up and people were paying any money during the pandemic to acquire rights.

[Speaker 1] (1:42:06 - 1:42:17)

And if you had to predict in five years from now, what percentage, say today an actor gets paid 100, five years from now, will he get paid 70 or 130?

[Speaker 2] (1:42:18 - 1:42:20)

I think he'll get paid the current model, 130.

[Speaker 1] (1:42:21 - 1:42:23)

It depends on his performance.

[Speaker 2] (1:42:23 - 1:42:32)

I mean, he's saying, assuming all goes well. Assuming everything is going to the shitter, then I'm guessing he's going to the shitter as well.

[Speaker 1] (1:42:32 - 1:42:33)

Establish market size.

[Speaker 2] (1:42:35 - 1:42:37)

Because models are very, very different.

[Speaker 1] (1:42:39 - 1:42:43)

Establish Bollywood actors getting paid market size. Simple.

[Speaker 2] (1:42:44 - 1:42:56)

You can't establish that market size. It'll be a, it'll be a factor of this. So let's say that I won't know.

So it'll be, what he's saying is it's very opaque. That's what he's saying. And B, it's a percentage of the total production budget.

[Speaker 1] (1:42:56 - 1:42:58)

But he manages like 70% of them.

[Speaker 3] (1:42:59 - 1:43:02)

He's not wanting to talk about that 70% as well.

[Speaker 1] (1:43:03 - 1:43:05)

We're not asking you for like a bifurcation.

[Speaker 2] (1:43:05 - 1:43:11)

No, see, understand this is the only business where some things are behind an opaque wall.

[Speaker 1] (1:43:12 - 1:43:15)

10 stars male and 10 stars females.

[Speaker 2] (1:43:15 - 1:43:20)

Let me put it this way. The male stars definitely take a lion's share of it.

[Speaker 3] (1:43:20 - 1:43:22)

Next question. I think we've got to change that.

[Speaker 2] (1:43:22 - 1:43:23)

Get 90%.

[Speaker 3] (1:43:24 - 1:43:27)

Why? I'm more than happy. Don't sort of female-led.

I'm more than happy.

[Speaker 1] (1:43:28 - 1:43:32)

It depends on the story and the protagonist. If the protagonist is a lady. It's just all.

[Speaker 2] (1:43:33 - 1:43:33)

No, I mean.

[Speaker 1] (1:43:33 - 1:43:35)

It's a function of how much role they have in a movie.

[Speaker 2] (1:43:35 - 1:43:37)

No, no, also it's a function of box office.

[Speaker 1] (1:43:39 - 1:44:03)

I'll put a neck on the line a little bit. And I'll say, I knew someone in the industry. And her role and her co-actor's role was screen time was probably equal.

Okay. But her salary in that particular movie was one hundredth of the male salary. That much difference.

[Speaker 2] (1:44:04 - 1:44:16)

You're not just making that up. The fee is a part of the production budget, not a part of the monetization budget. So for 2 billion of box office, how much was it made for?

Was it made for a billion? Was it made for half a billion?

[Speaker 1] (1:44:16 - 1:44:18)

It was made the same way for the male and the female.

[Speaker 2] (1:44:19 - 1:44:35)

No, no, I'm talking about overall talent fee, right? So, for example, today, you know that, okay, music streaming is a thousand odd, two thousand, two hundred thousand, three hundred crore market. That gets divided by Bollywood 70 percent.

Now, in that, I can tell you, music directors make nothing.

[Speaker 1] (1:44:36 - 1:44:37)

The actor's fees, what percentage of the budget?

[Speaker 2] (1:44:37 - 1:44:38)

All I'm saying is.

[Speaker 1] (1:44:38 - 1:44:45)

That's an interesting point I missed. What is the money spent on making movies in India here? Then you can extrapolate what percentage does a lead star get?

[Speaker 2] (1:44:45 - 1:45:04)

I talk about, you talk about Bollywood films, because you'll have a key understanding. An average Bollywood film, a reasonable Bollywood film, say hypothetically, we will go watch, or which will come into our consciousness. Not the two crore film that just, you know, nobody will go, it won't come into our.

[Speaker 1] (1:45:04 - 1:45:22)

But add that too, because we won't enter a market size. Let's say, if you take 300 films a year, it'll be five. It'll be around 8-10,000.

Yes, yes, yes, it should be that much. Is it that close, that the amount of money spent on making movies is 2 billion? The amount of money spent in theatres is 2 billion?

The amount of money spent on OTT is 2 billion?

[Speaker 3] (1:45:22 - 1:45:25)

Yeah. All 2 billion each? There's coincidences.

I mean, it's a coincidence.

[Speaker 1] (1:45:25 - 1:45:31)

No, theatrical is about 10,000 crores, which is a little less. But we added food and. Oh yeah, yeah, yeah, correct.

[Speaker 2] (1:45:31 - 1:45:45)

If you add all that. Of course, of course, yeah. You would say that if you're making a big ticket film, the actor would be anywhere between 20-50% of that, 25-50% of that.

[Speaker 1] (1:45:47 - 1:45:51)

Why is it that there is so little data around all this? Like, I looked up. Because it is for a reason.

[Speaker 3] (1:45:52 - 1:45:57)

It's a big film. For a reason. And also fragmented, very fragmented.

And it is fragmented, by the way.

[Speaker 1] (1:45:58 - 1:46:05)

But don't you think if somebody gets all these numbers and builds models and all that, it'll help each one of you so much?

[Speaker 3] (1:46:05 - 1:46:12)

I don't think it helps players like maybe the actors in this case. Or even some producers in this case. And so on and so forth.

[Speaker 2] (1:46:13 - 1:46:17)

The straight answer to that is it doesn't help. It doesn't help. It's always better to have a wall against it.

[Speaker 3] (1:46:17 - 1:46:50)

There's an accountability. Suddenly, all this starts to come out. And then people will start to.

You know, I mean, for instance, one of the questions I keep asking. But you had asked Ajay this short while back. How exactly does one value the rights to a content piece?

There is actually no model. As in, there's, you know, like, valuation models. Nothing like that exists.

But there should be. It's such a big industry, evidently. There ought to be, but no.

[Speaker 1] (1:46:51 - 1:47:39)

Next topic, future of content. First sub-topic, if I might bring up. Social media influencers of all kinds, be it around tech, finance, creative stuff like fashion, designing, all of that.

They appeared out of nowhere a few years ago. Are they eating out of the same pie? Or are they growing the pie?

And their significance has definitely gone up in the last five years. Do you think that trend will continue to a point where they become bigger than the stars of yesterday? If not, why?

If yes, why?

[Speaker 2] (1:47:40 - 1:48:00)

Great question. I get asked this literally in every interview that media talks to us about. I mean, it's a completely accretive model.

It's not, it's not eating into a pie, it's growing the pie. Because it's not like today, a social. So is

there a hundred pieces?

[Speaker 1] (1:48:00 - 1:48:14)

But I'll say this. My bandwidth to consume content is not unlimited. It's not, it's not that just because a new form of entertainment arrived, I have two extra hours in my day.

[Speaker 3] (1:48:15 - 1:48:17)

No, no, time is finite, highly perishable.

[Speaker 1] (1:48:17 - 1:48:32)

You can, you can substitute what you're watching. That's my question, exactly. Are we substituting what we used to watch through stars and actors?

If I had two hours in a day to consume content, did I take away one hour and give it to social media?

[Speaker 2] (1:48:32 - 1:48:38)

You're not, you're not taking away from someone. You're adding on to someone. You're another podcast that I'm adding to my day.

[Speaker 1] (1:48:38 - 1:48:41)

No, but I'm taking away that time from the same user.

[Speaker 2] (1:48:41 - 1:49:00)

I don't know whether it's the same user. And that's where, that's where the value is increasing. The best way for me to gauge this is influencer marketing, right?

Hypothetically advertiser X has increased his marketing budget. It's not like he had a hundred dollars and he used to pay a cricketer 30, a Bollywood star 40 and put media in 70.

[Speaker 1] (1:49:00 - 1:49:14)

But do you think that's accurate? Because if I'm a company X, which sells shoes, my advertising budget per year is 50 rupees. I'm not going to increase that budget because there is another kind of creator out there.

I'm going to split my budget.

[Speaker 2] (1:49:15 - 1:49:28)

My endorsement business, which is the traditional celebrity endorsement business is growing.

They're fairly good. The influencer marketing business is probably growing at the expense of something else that you don't know about.

[Speaker 4] (1:49:28 - 1:49:28)

Yeah.

[Speaker 2] (1:49:29 - 1:50:11)

I'll tell you where it's a, it's a conversation again to be dealt upon. I don't think it's at the cost of, and I'll tell you why, because if it's at the cost of the mega shifters, right? Should have a degree, should have some kind of decrease or impact.

Because if it shifts, the only sign of shifting is if it is shifting at the A-plus levels or the B-plus levels. Today, the fact of the matter is, it's not like any advertiser is coming and saying, instead of this actor, I'll do 10 creators. That's not what they're saying.

What they're saying is I will find a better use of my digital marketing budget. So if anything, very sadly, I think it's taking away from platforms. I don't think it's taking away from celebrities.

[Speaker 1] (1:50:12 - 1:50:13)

Explain that.

[Speaker 2] (1:50:13 - 1:50:17)

I think it's taking away from media dollars being spent on platforms.

[Speaker 1] (1:50:17 - 1:50:19)

What are you thinking of when you say platforms?

[Speaker 2] (1:50:19 - 1:50:21)

Performance marketing, for example.

[Speaker 1] (1:50:21 - 1:50:22)

Are you talking about Instagram?

[Speaker 2] (1:50:22 - 1:50:24)

Instagram, Google, YouTube.

[Speaker 3] (1:50:24 - 1:50:27)

Performance marketing is growing though, which the data shows.

[Speaker 2] (1:50:27 - 1:50:31)

But the performance marketing is growing on the back of creators.

[Speaker 3] (1:50:32 - 1:50:40)

They're using creators to pump in the performance marketing. It's definitely going from somewhere. Maybe not performance marketing, but it's going from somewhere else.

[Speaker 2] (1:50:40 - 1:50:48)

Because the digital marketing budgets are exponentially increasing. So the market is increasing.

[Speaker 1] (1:50:48 - 1:51:01)

They're also declining from traditional media and moving to digital media. That is tangible. Even in terms of political spending on advertising, which is a big portion of newspapers and TV channels.

[Speaker 3] (1:51:01 - 1:51:02)

It's all shifting.

[Speaker 1] (1:51:02 - 1:51:03)

They're down 40-50%.

[Speaker 3] (1:51:05 - 1:51:08)

Advertising will shift to where the eyeballs are. It's the reality.

[Speaker 1] (1:51:09 - 1:51:24)

If newspapers and TV channels and TV news and all of these are getting lesser eyeballs than yesterday, what can people build to become the new avenues for people to consume all of these things?

[Speaker 3] (1:51:24 - 1:51:39)

The creator becomes the product and the distribution, right? And the reality is platforms like YouTube and others and us to some extent have made this possible.

[Speaker 1] (1:51:39 - 1:51:50)

Then have we answered our previous conversation via this? Creators are taking away the time for content, which previously people spent on newspapers, TV news.

[Speaker 3] (1:51:50 - 1:52:47)

Some extent, yes. No, because, you know, you have to keep one thing in mind. Look, there was a point in time when there was only the, like the whole family would get around the TV and watch it from like 7 to 9 p.m., for instance. That's gone today. Consumption is disaggregated in so many different ways. Like it's, you know, nowadays, for instance, there are still peaks of consumptions, but the distribution is a lot more sort of flatter than it would be when there was only TV or that you'd only read the newspaper in the morning or you'd listen to the radio in the morning or you'd carry the radio and listen to it in your commute.

But today, just because of the smartphone and because of all these platforms, consumption of media and entertainment has never been more disaggregated.

[Speaker 1] (1:52:47 - 1:52:56)

Yeah, that's what I was saying. Although we all have finite time, but I think the consumption has really, so some level there is cannibalization, but some level the consumption has gone up dramatically.

[Speaker 2] (1:52:56 - 1:52:57)

Maybe the pace is moving much faster then.

[Speaker 3] (1:52:57 - 1:53:18)

I mean, here's a data point. Indians watch about 1.3 trillion hours worth of video, like of all kinds in a year. In China, that number is about three million, three trillion.

Chinese just spread out a lot. And this is all kinds.

[Speaker 1] (1:53:19 - 1:53:20)

You're saying trillion, not billion.

[Speaker 3] (1:53:20 - 1:53:34)

Trillion, trillion, right? And I think the right way to actually explain that would be to cut it down, right? I mean, the average time, for instance, per day that an Indian spends watching video on a smartphone is over an hour.

[Speaker 1] (1:53:34 - 1:55:07)

Also is another trend that content consumers are getting disillusioned by corporations per se and leaning more towards fragmented distribution. Like I will trust person X, but not the news agency if they were to publish something. Do you think that's a trend in the market?

I didn't. Right now, I consume my news from corporation ABC. ABC has reporters one, two, three, four, five.

Is the world moving in the trend that tomorrow, I don't want to go to ABC, but I want to go to those one, two, three, four or five because I will associate and resonate with one, two, three, four, five versus ABC. I think there is still credibility left for channels as well. But is credibility moving from consolidation to fragmentation?

I see your point. Again, both are happening. I think it's either moving in this direction or that.

But if some journalist or somebody who you like, you can follow him also. Not until very recently, that was not possible. But now you can.

Now you can, yeah. So do you think that will be the future? Where people will follow individual journalists they like versus an assortment in aggregated...

Like a TV channel, news channel like NDTV or BBC or something?

[Speaker 3] (1:55:07 - 1:56:05)

You have to stretch this out, Nikhil. So if you take a 10-15 year view and you take a look at essentially digital natives, like people who were born in this... I have two boys, 16 and...

He's going to turn 16 in a few days and 12. The point you're making is true for them because my 12-year-old actually refers to Mr. Beast. And the stuff he talks about, more than he does BBC or anything.

So if you stretch it out, and what they do is... What I can see them also getting really comfortable with... And again, this is all a question of time, attention and all of that is essentially very short form.

They are not sitting around watching two hours, three hours. They aren't. They are like...

Actually, the action is literally this thumb flicking. They hold the phone in their hands and they're flicking up all the time. They're just going through stream after stream after stream.

[Speaker 1] (1:56:05 - 1:56:27)

And I think for that reason exactly resonating with what you said, content is getting shorter, but it's also moving very quickly away from text to video. Oh, yeah, for sure. Oh, for sure.

As an independent creator, you have a much bigger shot tomorrow than you ever had yesterday to find an audience. Completely agree.

[Speaker 3] (1:56:28 - 1:56:41)

But what I would... But this is just a view. Hmm.

Is I think short form gives you a higher likelihood of success.

[Speaker 1] (1:56:42 - 1:56:49)

Quicker dopamine hit. Yes. Let's keep summarizing along the way.

So the summary of this point is...

[Speaker 2] (1:56:49 - 1:57:13)

The summary of this point is I feel to your point, it is definitely... I'm not doubting it. I'm definitely seeing it move towards singular creators.

And I think I got one data point right now. If I'm not wrong, we can double click on this. Just have a look at the numbers that MediaNet is doing back in the day.

How much money a brand or a corporation or a movie used to spend on promoting on MediaNet versus online platform. You'll see that become one third.

[Speaker 3] (1:57:14 - 1:57:21)

But essentially what Vijay is saying that you can be at the scale of one. Yeah. But you can serve the hundreds, thousands, millions.

Absolutely.

[Speaker 1] (1:57:21 - 1:57:31)

So we said this. We said video is definitely the way forward. And we said the newer generations have shorter time spans and that trend will likely continue as well.

[Speaker 3] (1:57:31 - 1:57:41)

And also that they are likely to be very accepting of just like independent creators and look at them as experts.

[Speaker 1] (1:57:41 - 1:58:14)

Do you think gaming is big competition for all of you guys? The share, the mind space share of gaming has been going up significantly. And the scale of gaming is incredible.

And the thing with gaming unlike what all three of you do is it's interactive. It's two way. There's feedback.

That in itself innately makes it very attractive. Do you think gaming is a serious threat when all three of you are vying for that same two, three hours of somebody's time?

[Speaker 3] (1:58:15 - 1:59:18)

See, all of these things, whether it be gaming, sports, movies, TVs, you know, they are essentially their products. They are all and if you again abstract them further, they're telling stories. If that story sucks, I guarantee you that game is not going to fly just as much as a movie won't fly just as much as that boring match won't fly either.

So the point that I, the way I at least talk to the team about is, look, we have to work hard to earn that right of time. So if you tell a great story, I guarantee that people, maybe not today, but will tomorrow or day after, they will put that game down for two hours or an hour and they'll come and watch Night Manager. Or they'll come and watch Saas, Bahu and Flamingo.

Point I'm making is that you have these great stories and they have to learn that right. But if it's a great game and we don't have a great story.

[Speaker 1] (1:59:19 - 2:00:17)

And if it's a great film on the screen, they'll come. So I'm just saying that they're not straitjacketed, I feel. They like to do everything.

If tomorrow you're able to create a show, deepfake or automatically generate actors, expressions, all of that, in a manner where you don't have to, I hate to sound condescending when I talk about actors. I won't say tantrums. But not deal with any of that.

Have like the most efficient machine kind of a model, which will allow you to create a show from start to finish in probably a fraction of the time. Would you have any aversion towards adopting technology like that? It will also help the multiplex industry, likely.

The strike is all about that. Not having guardrails on CG, not having guardrails on AI, writers and actors.

[Speaker 2] (2:00:17 - 2:00:25)

I think as long as you feel a sentiment towards an actor, because that's what acts does, in a sense, I think it's very difficult for AI to...

[Speaker 3] (2:00:25 - 2:00:46)

So you mean, you mean sentiment towards a human being who happens to be a star? I see your point. I mean, if he's alive, you as a fan would not...

Even if you give me the same guy. But Vijay, the point is, I don't know. I'm not sure.

Certainly, I am not in a position today to be able to say that people won't gravitate to that person or not, because I don't think it's been done yet properly.

[Speaker 1] (2:00:46 - 2:00:56)

I think I framed that question incorrectly. I didn't mean actors who are already there. But you get the perfect actor then, right?

The director gets exactly what he wants.

[Speaker 3] (2:00:57 - 2:01:07)

You could even have a flawed character. But the reality is that, as you say, it's bits and bytes. It was written up in code.

It's Vicky the robot.

[Speaker 1] (2:01:08 - 2:01:22)

It's like in animes, they look at avatars. Some were real, some were not real. I mean, that's already happening.

The hybrid model... Animation becomes totally real. Yeah.

Like, if you look at where anime is going, anime also, and Pixar and all these people, they can create...

[Speaker 2] (2:01:22 - 2:01:35)

I feel there's huge value. I think if it is adopted well, it can be a disruptor. But it is a long debate.

It's a debate which is what's happening, warring right now in the United States as well.

[Speaker 1] (2:01:35 - 2:01:42)

How do you greenlight original content? If I'm building content for Hotstar, three things that you watch out for?

[Speaker 3] (2:01:43 - 2:02:03)

I mean, the content team actually drives that. What do they look out for? So the content team looks for, to be fair, a great story.

They do look for the arc. And yes, who's going to go play it, right? Like, who can they play it?

Who's going to direct it?

[Speaker 1] (2:02:04 - 2:02:09)

If I had to use a hack to put myself up on the list and I'm creating some original content, what do I need to do?

[Speaker 3] (2:02:11 - 2:02:40)

So some of it is like formulae, because we've known that genres like mystery, murder, etc., they tend to... This whole drama piece, they tend to sort of travel more. So you'll get a better chance of getting greenlit there.

Throw in a couple of big names, better chance of getting there. Throw in a great director, better chance of getting greenlit there, yes. So it's a combination of those things.

Okay.

[Speaker 1] (2:02:41 - 2:03:28)

Creativity and commerce is something that should happen hand in hand. It is showbiz. I know it's a very cliched thing to say.

And if it's just content for, you know, like a platform, then, you know, the pilot is important. The script is important, what you put together. And then, of course, it'll get greenlit.

And if it's a feature film, then again, you should be well aware of what the returns of that content are going to be. From years of managing larger than life personalities, okay? What have you learned are traits that sets one talent or the people who made it, apart from people who did not make it?

[Speaker 2] (2:03:31 - 2:03:49)

Unbelievable, insatiable appetite. People who, at times, in the early part of their careers, they don't wait too much to smell the roses because they're on to the next, on to the next, on to the next very, very quickly. So I'm guessing you're asking this also from an aspiring star perspective.

[Speaker 1] (2:03:49 - 2:04:01)

Because that's a huge audience. Like the number of people, I think being an actor is also being an entrepreneur, right? It is, for sure.

And there are a lot of people aspiring to be signed by somebody like Vijay.

[Speaker 3] (2:04:01 - 2:04:18)

Yeah, but I think the problem is, Vijay articulated that problem, no? It's almost easier to set up like a tech company or any company for that matter, than it is to actually break into the sphere. That, I

think, is like a huge barrier.

Yeah. And that, I'm not quite sure how you overcome that. Because Vijay's point is, you've got to know somebody to get in.

[Speaker 1] (2:04:19 - 2:04:26)

Can't you create like a platform where different people record auditions? That's what it is. And aggregate them.

[Speaker 2] (2:04:26 - 2:04:32)

That's what we're trying to do with both Anna 25 and these. It's exactly what we're trying to do with them. So that's exactly where we're going.

[Speaker 1] (2:04:32 - 2:04:51)

Actually, I have a personal question for you. You manage many actors and actresses who are, in a sense, trying to land the same role. How do you decide, in your head, if talent A you manage is better than talent B you manage for that role that both of them want?

[Speaker 2] (2:04:51 - 2:05:32)

Well, I think the truth of the matter is, this is where, in the company, there are very clear-cut agent systems where each agent pushes the agenda of their respective clients. And eventually, because, you know, a film is not eventually the director. It's the director's call, right?

More often than not, it's the director who sees the frame or not. So eventually, the directors do take the call. But I think the way to devise that is by creating a system where everybody has a shot at it.

And the director eventually takes a call at that. I think the most, for me, what I look at talent the most is, are you here for the buck?

[Speaker 4] (2:05:32 - 2:05:33)

Yeah.

[Speaker 2] (2:05:33 - 2:05:49)

Are you here for a vision? I intend to invest time, energy, and effort on reason for existence. Why should you be there?

That's what I keep asking them. Why do we need another person?

[Speaker 1] (2:05:49 - 2:05:50)

And what is the right answer?

[Speaker 2] (2:05:51 - 2:05:53)

What do you have to give? That's different.

[Speaker 1] (2:05:53 - 2:05:54)

I think commitment is...

[Speaker 2] (2:05:55 - 2:06:02)

Some of it can be as brutally cold as somebody can look a certain way, which the market demands.

[Speaker 3] (2:06:03 - 2:06:05)

Commitment to the craft is still...

[Speaker 2] (2:06:05 - 2:06:11)

Commitment to the craft. What is taken... Like any other business, yeah?

What's your reason to exist? What do you have that's separate from...

[Speaker 1] (2:06:11 - 2:06:14)

Just because you're an actor or you're a glamorous...

[Speaker 2] (2:06:14 - 2:06:20)

I think these three things are what I do. So typically, we do vision-setting exercises, which are very clear where do you want to be.

[Speaker 1] (2:06:22 - 2:06:38)

Right. Okay, so the last section, if somebody does not want to start a business but wants to invest in one, either on the private side or public side, I know there are public companies out there, which I will talk about a little bit. Recommendations.

[Speaker 2] (2:06:39 - 2:06:48)

Shit. That's a very difficult question to ask me. I'm not even going to answer it.

You can't answer it right now.

[Speaker 1] (2:06:49 - 2:06:57)

You want a name of a company? Even in this field? Oh, that's a tough...

I can give you my view, because this is my job.

[Speaker 2] (2:06:57 - 2:06:59)

You have many. So you have an exercise.

[Speaker 1] (2:07:00 - 2:11:15)

I've had some exposure with Ajay, as he knows. PVR, I've had a long relationship with from a stock point of view. And I bought 2%, so I invested a reasonable chunk of money, which I still hold to the day.

I don't know 2% has gotten diluted after the merger, but whatever diluted number is, I still have. The thing I like about Ajay, like Ajay's ability to remain resilient during the pandemic, especially during the pandemic, and not significantly take up the debt of PVR, needed some God level of negotiation skills, and he pulled it off. And to have someone like him at the helm of a company, I think is incredible.

You know, thank this kind of... And talking about Sajid, I feel like he's in a business where 99 out of 100 people would be enamored by the surroundings and make one out of 100 decisions based on that. Knowing Sajid like I do, I think he would never.

I think how objective he has remained in his transition from a financial company to an entertainment company, and he's continued to remain who he truly is. I think it's testament to how good he is as a CEO, and how long this journey will go. And talking about Vijay, like we've seen gift of GAM all night tonight.

We speak like every day, and we're already like working together on a whole bunch of things, and super excited. I don't think that's an investment. I think that's more a partnership.

But really looking forward to that. The last bit. This being a charity, every time somebody comes on this podcast, they all commit to give away a certain amount to charity.

And the money doesn't come to me because I have too many charities in life I'm part of, I can't do one more. The money goes directly to charity, but we let the audience decide which charity the money goes to. So for example, you three say an amount, and then you pick a charity each.

We put out a poll with the names of four charities and the amount that has to be donated. Audience in a democratic way votes, and the winner of that week gets the money. So what I want from you guys is an amount and the name of a charity.

The reason we are doing this is I have experienced this myself in my life. There is a certain kind

of satisfaction in a very twisted way. It is also selfish.

When you're helping some cause, you're not being 100% altruistic. You're doing it for some kind of appeasement of your own morality, which also in turn helps you. But let's not go so like, you know, twisted into this deeper layer.

But I think to make giving and participating in the community cool is the point of this. And the thing is, once the audience picks a charity and they see the result of it, when the money goes there, we are hoping next time without us, they do it on their own. Very simple.

So the amount doesn't matter, whatever. So you guys can just commit an amount. I mean, I'm very closely associated with our own charity PVR Nest only, which is building ladies toilets and throughout and pink toilets.

And also picking up people around our cinemas who are in slums and stuff like that, talking to the parents and then giving them not just education, but employment as well. So that's very close to our heart. Okay.

PVR Nest, it's called. Done. And would you like to commit an amount?

25 lakhs. Vijay, next.

[Speaker 2] (2:11:15 - 2:11:19)

So collective supports about two or three charities. So I'll just have to.

[Speaker 1] (2:11:19 - 2:11:20)

Pick one of them.

[Speaker 2] (2:11:20 - 2:11:26)

Pick one of them. We'll put it on the poll. And I'll put it on the poll for sure.

I'll send it to you guys. Yeah, happy to commit anywhere between 25 lakhs.

[Speaker 3] (2:11:26 - 2:11:38)

Okay. Sajid. Yeah.

So there's a friend of mine who runs this, it's called Links Charitable Trust. And it essentially links children to quality education, healthcare and life-saving medical treatment.

[Speaker 4] (2:11:39 - 2:11:39)

Right.

[Speaker 3] (2:11:40 - 2:11:50)

So, you know, I'm going to speak to her. I haven't actually asked her whether I can even take her name, the amount, et cetera. So let me speak to her right now.

[Speaker 1] (2:11:51 - 2:12:07)

Yeah. So you come back with the amount, we'll add it and we'll put it on the poll. I'll do the same 25 lakhs as well.

So let's say between 75 lakhs to a crore for this particular session goes out to one of the four charities. I won't pick a charity. I'll let audience pick a charity for me.

[Speaker 4] (2:12:07 - 2:12:08)

Sure.

[Speaker 1] (2:12:08 - 2:12:15)

The money goes to that charity and the audience decides on a poll. I'll send it to all of you and we'll make it like a fun, democratic exercise.

[Speaker 4] (2:12:16 - 2:12:16)

Sure.

[Speaker 1] (2:12:16 - 2:12:24)

Which hopefully encourages people who participate to do this on their own tomorrow. Great. Lovely.

Brilliant. Outstanding.

[Speaker 4] (2:12:24 - 2:12:24)

Excellent.

[Speaker 1] (2:12:25 - 2:12:25)

Super.

[Speaker 4] (2:12:26 - 2:12:28)

Thank you. Thank you. Thank you, guys.

[Speaker 1] (2:12:28 - 2:13:55)

Thanks, Nikhil. Thank you, Nikhil. Well done, man.

Thank you, guys. Hey, I'm Nikhil Kamat. I'd love to know what you thought of the episode.

Comment, like and subscribe. And thank you for watching.